

Policy Number:
HO 0102050

Anniversary Update
Your Elite Homeowners Policy
In Plain Language

**ERIE AND NIAGARA
INSURANCE
ASSOCIATION**



8800 Sheridan Drive • Box 9062
Williamsville, New York 14231-9062

Policy Change:

Insured: Bertram Pellier & Malcolm Marsh
16 Amandas Way
Lagrangeville, NY 12540

EN-45 (4/14) CHANGE ENDORSEMENT

0366
Agent: Brinckerhoff & Neuville, Inc.
Phone: (845) 896-4700

Policy Period: From 9/23/2024 to 9/23/2025 Policy Changes Effective: 9/23/2024

***** **THIS IS NOT A BILL** ***** Any premium charge will be reflected in your next bill

The Reason(s) For This Change Are As Follows:

Anniversary Update

The Described Location covered by this policy is located at the above address, unless otherwise stated.

Number, Street, Town or City, County, State, Zip Code

16 Amandas Way Lagrangeville, NY 12540 - Dutchess County

<u>Policy Coverage</u>	<u>Limits</u>	<u>Policy Forms:</u>		
A. Residence	\$ 1,082,000	ENFDE (01/09)	ENIA-ML20(2/18)	EN-PJ (2/13)
B. Private Structures	\$ 108,200	FMD1 (8/08)	ML430 (6/99)	ML430B (1/91)
C. Personal Property	\$ 757,400	ML5 (6/99)	ML78 (8/03)	ML9 (1/87)
D. Additional Living Expenses	\$ 216,400			

<u>Liability Coverage</u>	<u>Limits</u>	<u>Property Coverage</u>	
L. Personal Liability	\$ 1,000,000	Each Occurrence	Deductible: \$1,000
M. Medical Payments	\$ 5,000	Each Person	Basic Premium: \$2,745

Rating Information:

Protection Class: Semi-Protected

No. of Families: 1

Occupancy: Elite Primary

Rating Basis - Dwelling: RC

Construction: Frame

Miles From Fire Dept: Less Than 5

Subject to the following forms and endorsements:

ENIA-AIP-HO (11/09) Automatic Inflation Protection	
ENIA-HO-ELPLUS (9/16) Homeowner's Elite Plus Coverage	\$70.00
ML19 (10/06) Policy Endorsement	
ML216 (1/87) Premises Alarm	
ML342 (7/14) Underground Utility Line Endorsement	\$60.00

Subsequent payments will be due each year based on rates in effect at that time.

New Annual Premium: \$2,979.00

Mortgagee(s) or Secured Party:

Loan #: 0527519813
Wells Fargo Bank, NA #936
Its Successors and/or Assigns
PO Box 100515
Florence, SC 29502-0515

EN-45 (4/14) CHANGE ENDORSEMENT

Policy Period: 9/23/2024 - 9/23/2025
Amended: 9/23/2024

HO 0102050 Bertram Pellier & Malcolm Marsh
8/8/2024 9:51 AM REN

Insured Image

Policy Number:
HO 0102050

Policy Change:

Insured: Bertram Pellier & Malcolm Marsh
16 Amandas Way
Lagrangeville, NY 12540

Anniversary Update
Supplemental Declarations

**ERIE AND NIAGARA
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Subject to the following forms and endorsements: (Continued From Previous Page)

ML346BG (9/13) Equipment Breakdown Enhancement Endorsement	\$26.00
ML72A (05/13) Added Water Damages Coverage	\$78.00
ML84 (8/07) New York Amendatory Endorsement	
NYSTAT1 (11/08) NY Statutory Endorsement	



"FREE" IDENTITY THEFT RESOLUTION SERVICES

Identity theft is one of the fastest growing crimes in America today. To assist our homeowner customers in fighting this crime, we are including Identity Theft Resolution Services at no additional cost to you. This service is available to you and resident family members.

This is not an insurance coverage and is provided by CyberScout®, the nation's leader in Identity theft resolution and fraud education.

If you are a victim of identity theft, this comprehensive service brings you all of the following FREE fraud specialist services:

- Unlimited one-on-one access to an experienced fraud professional who will guide you through the recovery process
- Assistance in setting up and filing a police report
- Preparation of all correspondence and documents to include phone calls to all relevant parties
- Creation and maintenance of a case file with details of all phone calls, documents and results
- Systematic notification to all three major credit bureaus, creditors, collection agencies, etc.
- One-year of credit monitoring, plus 3-in-1 credit report for identity theft victims
- One-year of fraud monitoring of over 1,000 public record data bases for identity theft victims
- An additional year of active follow-up resolution

Even if you are not a victim of identity theft, the following services are available:

- Professionals on call to answer questions regarding identity safety concerns
- Assistance in replacing lost, stolen or damaged identification documents (birth certificates, passport, social security card, etc.)
- Access to our educational web site, www.enia-idtheft.com, which includes tips, news alerts, articles and newsletters giving you the insight to help safeguard your identity.
- Specialized services for military members, families with children and those who have lost a spouse
- Unique services for those traveling abroad

If you believe your identity has been compromised, call Erie and Niagara at (800) 234-9876. We will connect you to a fraud specialist at CyberScout® who will handle all the hard work in restoring your identity, credit, and good name.

Note: Identity protection services are available to a spouse and/or immediate family members under 26 years old who live in the household.



AUTOMATIC INFLATION PROTECTION

Refer to Supplemental Declarations if information is not shown on this form.

We provide coverage under this endorsement subject to the *terms* contained in the General Policy Provisions.

We will increase the Amount of Insurance for coverages A, B, C & D by 4 percent of the amounts shown in the Declarations at the end of each twelve (12) month period after the effective date.

ERIE AND NIAGARA INSURANCE ASSOCIATION

FEE DISCLOSURE ENDORSEMENT

The following is a list of fees that could pertain to your insurance policy. Under the circumstances below, we will charge you fees associated with the cost of processing these transactions. These fees are not premiums but are regarded as an obligation of yours incurred with the payment of your premium. Therefore, non-payment of any fee may result in cancellation of your policy. The fees charged are shown below and will be reflected on your bill and/or cancellation notice.

Installment Option Fee

If you select the option of paying your premium by installments, a \$5.00 fee will be added to each installment we bill.

Returned Check Charge

If a payment is returned for any reason by the bank or other financial institution as unpaid, a fee of \$20.00 will be assessed.

Notice of Cancellation for non payment of premium

If your payment is late and a cancellation notice is issued, a fee of \$15.00 will be charged. The official U.S. postmark on your envelope must be on or before the due date on your bill or your payment will be considered late.

The Board of Directors of Erie and Niagara Insurance Association has approved and set each charge.

GENERAL POLICY PROVISIONS AGREEMENT

This policy, subject to all of its **terms**, provides insurance against loss to property, personal liability insurance and other described coverages during the policy period in return for payment of the required premium. It consists of this Agreement, the Declarations, the General Policy Provisions, Causes of Loss, Liability Coverage Section, and any endorsements made part of it, including any required state endorsement(s).

Endorsements attached to this policy may require a premium charge for increased or additional coverage. In the event **you** select a higher deductible amount or where certain exclusionary or limiting endorsements are added to **your** policy, **you** may receive a reduction in premium.

It is important that **you** read each part of this policy carefully to understand the coverage provided, **your** obligations and **our** obligations under the policy. Each coverage is subject to all policy **terms** relating to that coverage including the **terms** applicable to the entire policy. **Each principal coverage described in this policy applies only if an amount of insurance or a limit of liability is shown on the Declarations for that coverage.**

The following Table of Contents shows how the policy is organized and will help **you** locate particular sections of the policy.

TABLE OF CONTENTS

	Page
Agreement.....	i
General Policy Provisions	1-13
Definitions.....	1-2
Property Coverages	
Principal Property Coverages.....	2-4
Incidental Property Coverages	5-6
Exclusions That Apply To Property Coverages.....	6-7
(The causes of loss that apply to property coverages and the liability and medical payments coverages are on separate forms attached to this policy. Refer to the Causes of Loss Section and the Liability Coverage Section.)	
How Much We Pay for Loss or Claim.....	7-8
Payment of Loss or Claim.....	8
What You Must Do in Case of Loss	9-10
Policy Conditions	
Conditions Applicable to All Coverages	10-12
Conditions Applicable to Property Coverages Only	12-13
	Starting
	On Page
Causes of Loss Section.....	P-1
Causes of Loss	
Replacement Cost Provision (only if applicable to this policy)	
Liability Coverage Section	L-1
Principal Liability and Medical Payments Coverages	
Incidental Liability and Medical Payments Coverages	
Exclusions	

GENERAL POLICY PROVISIONS

POLICY DEFINITIONS-The following definitions apply to this policy.

We define certain words which appear throughout the policy text in ***bold/italic*** face type. They do not necessarily imply that coverage is provided under ***your*** policy. The definitions help ***you*** understand the coverage which is described elsewhere in the policy.

1. The words ***you*** and ***your*** refer to the person or persons named in the Declarations and ***your*** spouse if a resident of ***your*** household. The words ***we***, ***us*** and ***our*** refer to the insurance company named in the Declarations.
2. ***Bodily Injury*** means bodily harm, bodily sickness or bodily disease to a person including required care, loss of services and death resulting therefrom.
3. ***Business*** means a trade, profession, or other occupation including farming, all whether full or part time.
4. ***Credit Card*** means any card, plate, coupon book or other credit device existing for the purpose of obtaining money, property, labor or services on credit. This includes debit cards or any similar device used for the deposit, withdrawal or transfer of funds.
5. ***Domestic Employee*** means a person employed by an ***insured*** to perform duties in connection with the maintenance or use of the ***insured premises***. This includes persons who perform household or domestic services or duties of a similar nature elsewhere for an ***insured***. This does not include persons while performing duties in connection with an ***insured's business***.
6. ***Insured:***
 - a. ***Insured*** means ***you*** and, if residents of ***your*** household, ***your*** relatives, and any other person under the age of 21 in ***your*** care or in the care of ***your*** resident relatives.
 - b. Under Personal Liability and Medical Payments to Others coverages only, ***insured*** also includes:
 - 1) any person or organization legally responsible for a watercraft or animal owned by an ***insured*** and to which this insurance applies; (This does not include anyone using or having custody of the watercraft or animal in the course of any ***business*** or without the owner's permission) and
 - 2) any person while performing duties as a ***domestic employee*** of an ***insured***.
 - c. If ***you*** die while covered under this policy, ***your*** protection passes to ***your*** legal representative or other person having proper, temporary custody of covered property. However, this person or ***your*** legal representative is an ***insured*** only with respect to insurance on covered property and legal liability arising out of the property. Any person who is an ***insured*** at the time of ***your*** death continues to be an ***insured*** while residing on the ***insured premises***.
 - d. Each person listed above is a separate ***insured*** under this policy, but this does not increase ***our*** limit of liability under this policy.
7. ***Insured Premises:***
 - a. Described Location:
 - 1) If ***you*** own the one to four family house described in the Declarations, the ***insured premises*** means that house, related private structures and grounds at that location.
 - 2) If ***you*** own the townhouse or row house described in the Declarations, the ***insured premises*** means that townhouse or row house, related private structures and grounds used or occupied exclusively by ***your*** household for residential purposes at that location.
 - 3) If ***you*** own the one or two family manufactured home described in the Declarations, the ***insured premises*** means that manufactured home, related private structures and grounds at that location.
 - 4) If ***you*** reside in the condominium unit, cooperative, apartment or rented premises described in the Declarations, the ***insured premises*** means the parts of the described location which are used or occupied exclusively by ***your*** household for residential purposes.
 - b. For Personal Liability and Medical Payments to Others coverages, only, ***insured premises*** also include the following:
 - 1) other premises listed in the Declarations;
 - 2) the portion of any residential premises acquired by ***you*** for ***your*** occupancy during the policy period;
 - 3) vacant land (other than farm land) owned by or rented to an ***insured*** including land on which a ***residence*** is being constructed for the personal use of an ***insured***;
 - 4) individual or family cemetery lots and burial vaults;
 - 5) the portion of any residential premises, not owned by an ***insured***, while temporarily occupied by an ***insured***;
 - 6) any premises used by ***you*** in connection with the described location;

- 7) approaches and access ways immediately adjoining the **insured premises**; and
- 8) that part of any premises occasionally rented to an **insured** for other than **business** purposes.
9. **Medical Expenses** means reasonable and necessary expenses for medical, surgical, X-ray, dental, ambulance, hospital, professional nursing, funeral services, prosthetic devices, hearing aids and eyeglasses, including contact lenses.
9. **Motorized Vehicle** means any self-propelled land or amphibious vehicle (regardless of horsepower, number of wheels or method of surface contact) including parts and equipment. Small motorized equipment for the service of the **insured premises** such as power lawn mowers and snow blowers are exempted from this definition.
The following categories of **motorized vehicles** have specific meanings as used in this policy.
 - a. **Motor Vehicle** means a **motorized vehicle**, trailer or semi-trailer (including any attached machinery or apparatus):
 - 1) subject to motor vehicle registration; or
 - 2) designed for use or travel on public roads.
 - b. **Recreational Motor Vehicle** means a **motorized vehicle**, trailer, or attached apparatus, designed or used for off public road recreation, vacation or leisure time activities.
10. **Occurrence** means an accident, including continuous or repeated exposure to substantially similar conditions.
11. **Property Damage** means injury to or destruction of tangible property including the loss of its use.
12. **Residence** means a one to four family house, a townhouse, a row house, or a one or two family manufactured home. **You** must reside in at least one of the family units shown as the **residence** on the Declarations Page.
13. **Terms** as used in this policy mean provisions, limitations, exclusions, conditions and definitions.

PROPERTY COVERAGES

PRINCIPAL PROPERTY COVERAGES

Coverage A-Residence:

This policy covers the **residence** on the **insured premises** including additions and built-in components and fixtures, and building materials and supplies located on or next to the **insured premises** and intended for use in construction, alteration or repair of or to the **residence**.

Coverage A does not cover:

1. antennas (including satellite dishes and their control apparatus) their lead-in wiring, accessories, masts and towers;
2. curtains or drapes, all whether or not permanently installed, covered under Coverage C-Personal Property;
3. trees, plants, shrubs and lawns;
4. land, including land on which the dwelling is located; or
5. water, whether or not above ground.

Coverage B-Related Private Structures on the Premises (This coverage does not apply to Farmowners Policies)

This policy covers related private structures on the **insured premises** which are not attached to **your residence**. (Structures connected to the **residence** by only a fence, utility line or similar connection are considered to be related private structures). This coverage includes fences, driveways, sidewalks, and other permanently installed outdoor yard fixtures. Coverage B also includes additions and built-in components and fixtures, and building materials and supplies located on or next to the **insured premises** and intended for use in construction, alteration or repair of or to the related structure(s).

However, if there are no related private structures on the **insured premises** or the combined replacement cost of all such related private structures on the **insured premises** is \$1,000 or less (excluding the cost of driveways, sidewalks, fences, and swimming pools), **you** may add the Coverage B-Related Private Structures limit of liability to Coverage A-**Residence**. This provision does not apply to a Farmowner's policy.

But in no event will **our** amount of insurance for loss under Coverage A-**Residence** exceed the combined total of the amounts shown on the Declarations page for Coverage A-**Residence** and Coverage B-Related Private Structures.

Coverage B does not cover:

1. structures used in whole or in part for **business**. This exclusion does not apply to structures rented, held for rental or otherwise used solely for private, non-commercial garage purposes;
2. lawn or storage sheds/buildings unless mounted on a foundation or embedded poles and securely attached thereto on all sides;
3. antennas (including satellite dishes and their control apparatus) their lead-in wiring, accessories, masts and towers;

4. curtains or drapes, all whether or not permanently installed, covered under Coverage C-Personal Property;
5. trees, plants, shrubs and lawns;
6. land, including land on which the other structures are located; or
7. water, whether or not above ground.

Coverage C-Personal Property

1. **While on the Insured Premises**-This policy covers personal property owned by or in the care of an **insured**. At **your** option, the personal property of guests and **domestic employees** is covered while on the portion of the **insured premises** occupied exclusively by an **insured**.

This coverage also includes:

- a. curtains and drapes, all whether or not permanently installed;
- b. outdoor equipment not permanently installed.
2. **While Away from the Insured Premises**-**You** may apply the Coverage C-Personal Property amount of insurance to cover personal property owned or used by an **insured** anywhere in the world. This provision does not increase the Coverage C-Personal Property amount of insurance.
3. **While Away from the Insured Premises at Any Other Insured's Residence**-Coverage for personal property usually located at an **insured's residence** other than the **insured premises** is 10% of the amount of insurance for Coverage C-Personal Property or \$2,500, whichever is greater. This provision does not increase the Coverage C-Personal Property amount of insurance.
4. **Personal Property in a Newly Acquired Principal Residence**-Personal property in a newly acquired principal **residence** is not subject to the 10% or \$2,500 limitation (as set forth in Coverage C, Section 3-While Away from the **Insured Premises** at Any Other **Insured's Residence**) for 30 days immediately after **you** begin to move the property to the new principal **residence**.

This provision does not increase the Coverage C-Personal Property amount of insurance.

5. **Limitations on Certain Property**-These special limits do not increase the Coverage C amount of insurance. The special limit for each category below is the total limit per **occurrence** for all property in that category:

- a. \$100 on money, bank notes, bullion, gold other than goldware, silver other than silverware, platinum, coins, medals and numismatic property;
- b. \$500 on securities, commercial paper, stamps, philatelic property, tickets, accounts, deeds, evidence of debt, passports, manuscripts, unpublished works and other valuable papers. Commercial paper means drafts, checks, certificates of deposit and notes other than bank notes, including negotiable orders of withdrawal. This special limit is applicable to these properties whether they exist on paper, computer record or any other media and it includes the cost to research or replace the information or material;
- c. \$500 for loss by theft of jewelry, watches, precious and semi-precious stones, gems and furs;
- d. \$1,000 for loss by theft of guns;
- e. \$500 on watercraft including their trailers, equipment, accessories and outboard motors;
- f. \$500 on trailers not used with watercraft;
- g. \$1,000 for loss by theft of silverware, goldware, pewterware and items plated with gold or silver;
- h. \$5,000 on **motorized vehicles** used exclusively to service the **insured premises** and not designed or licensed for use on public roads;
- i. \$1,000 on grave markers;
- j. \$1,000 on electronic apparatus and its accessories when loss or damage occurs:
 - 1) while in or on a **motorized vehicle** if that electronic apparatus is adapted for operation from the electrical system of a **motorized vehicle** and by other electrical source(s);
 - 2) while away from a **motorized vehicle** if that electronic apparatus is adapted for operation from the electrical system of any **motorized vehicle** and by other electrical source(s). The electronic apparatus must be away from the **insured premises**. This limit also applies to electronic apparatus used for **business** purposes; and
- k. \$250 on property, away from the **insured premises**, used at any time or in any manner for any **business** purpose.

The following property is covered only while on the **insured premises** and is limited to the amounts stated:

- a. \$500 on **business** property of any **insured**; or
- b. \$500 on dismounted camper bodies.
- c. \$1,000 on **your** property consisting of domestic appliances in an apartment which **you** rent or hold for rental to others.

When Form ML-5 Cause of Loss applies, the above **Limitations on Certain Property** 5c, 5d and 5g are deleted and replaced with the following:

- c. \$1,500 for loss by theft, mysterious disappearance or unexplained loss of jewelry, watches, precious and semi-precious stones, gems and furs;
- d. \$2,000 for loss by theft, mysterious disappearance or unexplained loss of guns and gun accessories;
- g. \$2,000 for loss by theft, mysterious disappearance or unexplained loss of silverware, goldware, pewterware and items plated with gold or silver;

6. Personal Property Not Covered-Coverage C does not cover:

- a. property covered by any scheduled insurance;
- b. animals, insects, birds and fish;
- c. **motorized vehicles** including their parts and equipment, except those vehicles:
 - 1) used exclusively to service the **insured premises** subject to the Limitations on Certain Property; or
 - 2) designed and used for assisting the handicapped;
- d. aircraft and parts. Aircraft means any contrivance used or designed for flight, except model or hobby aircraft not used or designed to carry people or cargo;
- e. **business** property while away from the **insured premises** (except as shown under Limitations on Certain Property above);
- f. property of roomers, boarders and other tenants;
- g. antennas (including satellite dishes and their control apparatus) their lead-in wiring, accessories, masts and towers;
- h. trees, plants, shrubs and lawns;
- i. electronic devices, accessories or antennas designed for operation solely from the electrical system of a **motorized vehicle**, farm equipment or watercraft. This includes films, tapes, wires, discs, records or other media for use with such devices;
- j. loss that results from **credit cards**;
- k. property in an apartment regularly rented or held for rental to others by an **insured**, except as specifically covered under this policy;
- l. property rented or held for rental to others off the **residence premises**, except as specifically covered under this policy;
- m. 1) books of account, drawings or other paper records; or
2) electronic data processing tapes, wires, records, discs or other software media containing **business** data. But, we do cover the cost of blank or unexposed records and media.

Coverage D-Additional Expense and Loss of Rent Coverage

We pay any necessary and reasonable increase in expenses **you** incur to maintain the normal standard of living of **your** household if the **insured premises** or a portion of the **insured premises** is made unfit for occupancy by a covered loss. **We** pay only for the period of time reasonably required to make the **insured premises** fit for occupancy or to settle **your** household in new quarters, whichever is less. This period of time is not limited by the policy period.

We pay for any loss of rents actually sustained by **you** if the part of the **insured premises** rented to others is made unfit for occupancy due to a covered loss. **We** pay only for the period of time reasonably required to make the **insured premises** fit for occupancy or until **your** household is permanently relocated, whichever is less. Loss of rents is the amount **you** would have received less the charges and expenses that do not continue while the **insured premises** are unfit for occupancy. This period of time is not limited by the policy period.

We pay **your** additional expenses and loss of rents for a period of up to two weeks if the premises immediately adjoining the **insured premises** are damaged by a cause of loss covered by this policy, and **you** are prohibited by order of civil authority from using the **insured premises**. This period of time is not limited by the policy period.

Under this coverage, **we** do not pay expenses due to cancellation of any lease or written or oral agreement.

INCIDENTAL PROPERTY COVERAGES

This policy provides the following Incidental Property Coverages. These incidental coverages are subject to all of the **terms** of the applicable Principal Property Coverages A, B, or C. These incidental coverages do not increase the amount of insurance stated for the Principal Property Coverages.

1. Removal

a. Emergency Removal:

- 1) **We** pay for loss to covered property while removed from the **insured premises** for preservation from damage from covered causes of loss. Such property is covered against direct physical loss, not specifically excluded under this policy, for a period up to five days. It is covered against loss from covered causes of loss for an additional 25 days. This coverage does not extend past the expiration date of the policy.
- 2) **We** pay up to \$250 for towing charges to move a covered manufactured home endangered by a covered cause of loss.

b. Debris Removal-**We** pay for the removal of debris of covered property following a covered loss.

This coverage does not include costs to:

- 1) extract pollutants from land or water; or
- 2) remove, restore or replace polluted land or water.

We will also pay **your** reasonable expense for the removal of fallen trees from the **insured premises** if:

- a. coverage is not afforded under Incidental Property Coverages-Trees, Plants, Shrubs and Lawns for the cause of loss; or
- b. the tree is not covered by this policy;

provided the tree damages property described under Coverage A-**Residence** and/or Coverage B-Related Private Structures on the Premises and a covered cause of loss under Coverage C causes the tree to fall.

2. Reasonable Repairs-**We** will pay the reasonable cost incurred by **you** for necessary repairs made solely to protect covered property from further damage if a covered cause of loss causes the loss. This coverage does not increase the amount of insurance that applies to the property being repaired.

3. Fire Department Service Charge (not applicable in Arizona, New Hampshire, New Mexico or New York)-**We** pay up to \$500 for charges **you** are obligated to pay when a fire department is called to protect the **insured premises** from covered causes of loss.

4. Credit Card, Forgery and Counterfeit Money:

a. **We** pay up to \$1000 for loss sustained by an **insured** when such **insured**:

- 1) becomes legally obligated to pay for the unauthorized use of **credit cards** issued or registered in the **insured's** name;
- 2) suffers a loss through the forgery or alteration of checks, drafts, certificates of deposit and notes including negotiable orders of withdrawal; or
- 3) accepts, in good faith, counterfeit United States or Canadian paper currency.

b. **We** do not pay for loss if:

- 1) the **insured** has not complied with the **terms** under which the **credit card** was issued;
- 2) the loss is caused by the dishonesty of an **insured**;
- 3) the loss results from **business** activities of an **insured**;
- 4) the loss occurs while a person, not an **insured**, has possession of the **credit card** with an **insured's** permission.

5. Trees, Plants, Shrubs and Lawns-**You** may apply up to 10 percent of the Coverage C amount of insurance to cover trees, plants, shrubs and lawns on the **insured premises**. **We** pay only for loss caused by the following causes of loss: Fire, Lightning, Explosion, Riot, Civil Commotion, Aircraft, Vehicles not owned or operated by an occupant of the **insured premises**, and (if covered under this policy) Vandalism, Malicious Mischief or Theft. **We** do not pay more than \$500 for any one tree, plant, shrub or lawn including the cost of removing the debris of the covered item.

We do not cover trees, plants, shrubs or lawn:

- a. grown for **business** purposes; or
- b. located more than 250 feet from the **residence** on the **insured premises**.

6. Tenant's Improvements and Betterments-If **you** are a tenant, **you** may apply up to 10 percent of the Coverage C amount of insurance to cover direct loss by covered causes of loss to permanent fixtures, alterations and additions installed on the **insured premises** and made or acquired at **your** expense.

7. **Condominium Unit-Owner Additions**-If the *insured premises* are a condominium unit, *you* may apply up to 10 percent of the Coverage C amount of insurance to cover direct loss by covered causes of loss to permanent fixtures, alterations or additions *you* own within *your* condominium unit. This does not include parts of the building structure, or other property such as utility lines, situated in easements within the unit.
8. **Antenna Coverage**-*We* pay up to \$500 for direct loss by covered causes of loss to antennas (including satellite dishes and their control apparatus) their lead-in wiring, accessories, masts and towers.

EXCLUSIONS THAT APPLY TO PROPERTY COVERAGES

We do not pay for loss caused directly or indirectly by any of the following exclusions. The loss is excluded regardless of any other causes or events that contribute to or aggravate the loss either before the loss, at the same time as the loss or after the loss.

1. **Ordinance or Law**-This means loss or increased cost resulting from enforcement of any code, ordinance or law regulating the use, construction, repair, or demolition of a building or other structure. When breakage of glass is covered by this policy, *we* pay to replace damaged glass with safety glazing materials where required by code, ordinance or law.
2. **Civil Authority**-This means loss, including seizure, confiscation or destruction of property, caused by order of any civil authority.
We pay for loss resulting from acts of destruction by civil authority to prevent the spread of fire as long as the fire did not originate from a cause of loss excluded by this policy.
3. **Nuclear Hazard**-This means loss caused by nuclear reaction, nuclear radiation or radioactive contamination (whether controlled or uncontrolled and whether caused by, contributed to or aggravated by any covered cause of loss covered by this policy). Loss caused by nuclear hazard shall not be considered loss caused by fire, explosion or smoke. However, direct loss by fire resulting from the nuclear hazard is covered.
4. **War**-This means undeclared war, civil war, insurrection, rebellion, revolution, warlike act by a military force or military personnel, or destruction, seizure or use of property for a military purpose. It includes any consequence of any of these. Discharge of a nuclear weapon shall be deemed a warlike act even if accidental.
5. **Neglect**-This means neglect by an *insured* to use all reasonable means to save and preserve covered property at and after the time of a loss. It also means neglect by any *insured* to use all reasonable means to save and preserve covered property when endangered by a covered cause of loss.
6. **Earth Movement of any Kind**-This includes, but is not limited to, earthquake, landslide, mudflow, earth sinking and earth rising or shifting, subsidence, sinkhole, erosion, expanding or contracting, volcanic eruption or effusion including outpouring of lava or ash. Sinkhole collapse and volcanic action may be separately addressed by this policy.
We pay for direct loss by fire, explosion, and (if covered by this policy) theft resulting from earth movement. Explosion does not include volcanic eruption or effusion.
7. **Water Damage**-This means loss caused by:
 - a. flood, surface water, waves, tidal water, overflow of a body of water or spray from any of these whether wind driven or not;
 - b. water which backs up through sewers or drains; or
 - c. water below the surface of the ground, including water which exerts pressure on, or seeps or leaks through or into a building, sidewalk, driveway, foundation, swimming pool or other structure.*We* pay for direct loss by fire, explosion and (if covered under this policy) theft which may result. Explosion does not include volcanic eruption or effusion.
8. **Power Interruption**-This means loss from the interruption of power or other utility services resulting from any cause, whether covered under this policy or not, if the interruption takes place away from the *insured premises*. *We* pay for direct loss by a covered cause of loss which occurs on the *insured premises* as a result of any interruption of power.
9. **Business Interruption**-This means loss resulting from the interruption of *business*.
10. **Wear and Tear**-This includes damage caused by marring, deterioration, inherent vice, latent defects, mechanical breakdown, rust, wet or dry rot, corrosion, mold, contamination or smog unless loss or damage arises from a cause of loss covered by this policy.

11. **Errors, Omissions and Defects**-means an act, error or omission (negligent or not) relating to:
 - a. land use and planning including zoning, development, surveying or siting;
 - b. the design, specification, workmanship, repair, construction, renovation, remodeling, grading or compaction;
 - c. materials used in repair, construction, renovation or remodeling; or
 - d. maintenance of property (including land structures or improvements) whether on or off the **insured premises**.

We pay for an ensuing loss unless the ensuing loss itself is excluded.
12. **Intentional Acts**-*We* do not pay for loss which results from an act committed by or at the direction of an **insured** and with the intent to cause a loss.
13. **Acts or Decisions**-means the acts or decisions of any person, group, organization or government body (including the failure to act or decide).
14. **Weather conditions**-this exclusion only applies if weather conditions contribute in any way with a cause or event excluded above to produce the loss.

HOW MUCH *WE* PAY FOR LOSS OR CLAIM

1. Under Property Coverages:

- a. Property losses are settled on the basis of actual cash value including deduction for depreciation, however caused. If at the time of loss or claim, **your** policy indicates that settlement for loss will be made on the basis of actual cash value and if **your** amount of insurance for Coverage A-Residence is equal to or exceeds 80% of the replacement value of the **insured residence**, then the **insured** may elect:

- 1) to exercise his/her option for the actual cash value settlement including deduction for depreciation; or
- 2) to exercise his/her option for settlement under the Replacement Cost Provision shown in the Causes of Loss Section.

If the Replacement Cost option is selected by the **insured**, then losses under Coverage A-Residence and Coverage B-Related Private Structures on the Premises will be settled according to the **terms** of the Replacement Cost Provision set forth in the Causes of Loss Section.

- b. **Our Amount of Insurance**-For loss to property, *we* pay the lesser of the following amounts:

- 1) the applicable amount of insurance;
- 2) an amount not greater than **your** interest in the property;
- 3) the cost of repairing or replacing the property with materials of equivalent kind and quality to the extent practicable;
- 4) the amount computed after applying the deductible or other limitation applicable to the loss;
- 5) the actual cash value of the property at the time of loss (except as provided under the Replacement Cost Provision, if applicable); or
- 6) (applies to manufactured homes only at **your** option) the amount equal to the difference between the actual cash value of the property immediately before the loss and its actual cash value immediately after the loss.

- c. **Deductible:**

- 1) The deductible applies to the following Principal Property Coverages: Coverage A-Residence; Coverage B-Related Private Structures on the Premises; and Coverage C-Personal Property. It also applies to the following Incidental Property Coverages: Debris Removal; Trees, Plants, Shrubs and Lawns; Tenant's Improvements and Betterments; Condominium Unit-Owner Additions; and Antenna Coverage. The deductible applies to covered causes of loss, except as excluded or limited, unless otherwise stated in the Declarations or any endorsement.
- 2) *We* pay only that part of the loss over the deductible stated in the Declarations or endorsement. Not more than one deductible applies per **occurrence**;
- 3) If coverage is otherwise restricted by special amounts of insurance, **our** liability must be separately computed under both the deductible and the special amount of insurance. *We* pay the lesser of the two amounts.

- d. **Loss to a Pair or Set**-If there is loss to an article which is part of a pair or set, *we* are only liable for a reasonable proportion of the value of the entire pair or set, and the loss is not considered a total loss of the pair or set.

2. **Under Personal Liability and Medical Payments to Others Coverages**-The limits of liability stated in the Declarations are the maximum amounts *we* pay for loss in a single *occurrence* under these coverages, regardless of the number of:
- a. persons covered under this policy;
 - b. parties who sustain injury or damage; or
 - c. claims made or suits brought.
- Payment of a claim under the Medical Payments to Others coverage does not constitute an admission of liability under the Personal Liability coverage.
3. **Insurance Under More Than One Coverage**-If more than one coverage of this policy covers the same loss, *we* pay no more than the actual claim, loss or damage sustained.
4. **Insurance Under More Than One Policy**-Where property coverage is involved, if there is other collectible insurance that applies to the loss, *we* pay *our* share of the loss. *Our* share is that part of the loss that the amount of insurance stated in the policy bears to the total amount of insurance that applies to the loss. When a loss is also covered by the master policy of a condominium association, this insurance is excess.
- Where personal liability is involved, this insurance is excess over other valid and collectible insurance that applies to the loss or claim.
5. **Restoration of Limit of Liability**-Any loss *we* pay under this policy does not reduce the amount of insurance.

PAYMENT OF LOSS OR CLAIM

1. **Property Coverages:**
- a. **Your Property-We** will adjust all losses with *you*. A covered loss will be payable 45 days after an acceptable proof of loss is received and the amount of the loss has been established either by written agreement with *you* or the filing of an appraisal award with *us*. Payment will be made to *you* unless another loss payee is named in the policy.
 - b. **Additional Expenses**-If the *insured premises* are made unfit for occupancy for more than one month, covered expenses will be paid on a monthly basis upon submission of reasonable proof of the *insured's* expenses.
 - c. **Damage to Personal Property of Others**-At *our* option, a covered loss to property of others may be:
 - 1) adjusted with and paid to *you* for the account of the owner of the property; or
 - 2) adjusted with and paid to the owner. Payment to the owner discharges *our* obligation to an *insured* as to this property.
 - d. **Our Options:**
 - 1) *We* have the option to:
 - (a) pay the loss in money; or
 - (b) rebuild, repair or replace with property of equivalent kind and quality, to the extent practicable, within a reasonable time. *We* must give the *insured* notice of *our* intent to do so within 30 days after receipt of an acceptable proof of loss.
 - 2) *We* may take all or any part of damaged property at the agreed or appraised value. Any property paid for or replaced shall become *our* property.
2. **Liability Coverages**-Any person who has secured a judgment against an *insured* for a covered loss or has liability established by a written agreement between the claimant, an *insured* and *us*, is entitled to recover under this policy to the extent of coverage provided.
3. **Liens for Unpaid Taxes-We** are required by the Insurance Law to deduct the claim of any tax district from the amount *we* pay *you* for a loss by fire.
- To the extent *we* pay any tax district the amount certified as *your* unpaid taxes, *we* are no longer obligated to pay this amount to *you*.
- Our* payment of such claim to the tax district within 30 days of the receipt of a certificate of lien shall be considered by *you* and *us* that such claim was valid and properly paid.
- This does not apply to a loss by fire to a one or two family residential structure.

WHAT YOU MUST DO IN CASE OF LOSS

1. Notice:

a. In case of a loss or if an **insured** becomes aware of anything that indicates there might be a claim under this policy, the **insured** must:

- 1) promptly give **us** or **our** agent notice (in writing if requested);
- 2) notify the police when the act causing the loss is also a violation of law; or
- 3) notify the **credit card** company, if the loss involves **credit cards**.

b. The notice to **us** must state:

- 1) the **insured's** name, the kind of policy, policy number and the time, place, and circumstances of the loss; and
- 2) names and addresses of any potential claimants and witnesses.

2. **Cooperation**-The **insured** must cooperate with **us** in performing all acts required by this policy. In the event of a loss, **we** reserve the right to take samples of the damaged building(s) and personal property for inspection and analysis.

3. **Volunteer Payments**-The **insured** must not, except at the **insured's** own cost, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as specifically permitted in the following paragraph.

4. Additional Duties-Property Coverages:

a. The **insured** must also:

- 1) take all reasonable steps to protect covered property at and after a covered loss to avoid further damage. (**We** pay for repairs which are reasonable and necessary to protect the property from further damage, provided the **insured** keeps an accurate record of such expenses. These payments do not increase the amount of insurance otherwise applicable to the loss); and
- 2) submit to **us** a statement of loss (under oath if requested) within 60 days after the loss or accident.

b. At **our** request, the **insured** (and mortgagee, when applicable) must also:

- 1) submit an acceptable proof of loss, within 60 days after **our** request, containing the following information:
 - a) the time, place and circumstances of loss;
 - b) the **insured's** interest and the interest of all others in the property involved, including all mortgages and liens on the covered property;
 - c) other policies of insurance that may cover the loss on the property;
 - d) changes in title or occupancy of the property during the policy period;
 - e) available plans and specifications of buildings or structures;
 - f) detailed estimates for repair of the damage; and
 - g) an inventory of damaged personal property showing in detail the quantity, description, cost, actual cash value and amount of loss. The **insured** must attach to the inventory copies of all bills, receipts and related documents that substantiate the inventory.
- 2) submit to examination under oath, to be administered separately to each insured, in matters connected with the loss or claim as often as **we** reasonably request;
- 3) exhibit the damaged property as often as **we** reasonably request;
- 4) produce records, including tax returns and bank microfilms of all canceled checks, relating to value, loss and expenses and permit copies and extracts to be made of them as often as **we** reasonably request;
- 5) assist in enforcing any right of recovery which the **insured** may have against any party causing the loss;
- 6) produce records supporting loss of rents and receipts to support any additional living expenses; and
- 7) submit evidence or affidavit supporting a claim under Credit Card, Forgery, and Counterfeit Money coverage stating the amount and cause of loss.

5. **Additional Duties-Personal Liability Coverage**-In the event of an **occurrence** which might result in a claim for **bodily injury** or **property damage** liability under this policy, the **insured** must also do the following:

a. promptly forward to **us** copies of all notices, demands or legal papers received in connection with the **occurrence**;

b. at **our** request, assist in:

- 1) making settlements;
- 2) the conduct of suits including attending trials and hearings;
- 3) enforcing any right of contribution or indemnification against any party who may be liable to any **insured** for the injury or damage;
- 4) securing and giving evidence; and
- 5) obtaining the attendance of witnesses.

6. **Additional Duties-Medical Payments to Others Coverage**-In case of a medical payments loss, the following are also required:
- a. The injured person or someone acting on such person's behalf must:
 - 1) give **us** written proof of claim (under oath if requested) as soon as practical; and
 - 2) authorize **us** to obtain copies of medical reports and records.
 - b. The injured person shall submit to physical examinations by physicians selected by **us** when and as often as **we** reasonably require.

POLICY CONDITIONS

In addition to the policy **terms** which are contained in other sections of this policy, the following conditions also apply.

CONDITIONS APPLICABLE TO ALL COVERAGES

1. **Assignment**-Assignment of this policy is not valid without **our** written consent.
2. **Cancellation**:

With respect to cancellation and non-renewal, **Required Policy Period** means a period of three years from the date the policy is first issued or voluntarily renewed.

 - a. **By You-You** may cancel this policy at any time by giving **us** written notice or returning the policy to **us** and stating when thereafter the cancellation is to be effective.
 - b. **By Us-We** may cancel this policy by written notice delivered to or mailed to **you** at the mailing address shown in the Declarations. Proof of delivery or mailing is sufficient proof of notice. This notice must be delivered or mailed the required number of days prior to the effective date of the cancellation or nonrenewal. For a description of the number of days of required notice, refer to: (1) Nonpayment of premium, (2) New Policy, (3) Policy with a Term over One Year, (4) Nonrenewal, and (5) All Other Situations.
- c. **When We May Cancel or Nonrenew-We** may cancel or nonrenew the policy under the following conditions:
 - 1) Non-Payment of Premium-If the premium has not been paid when due, **we** may cancel at any time by giving the required notice at least 15 days before cancellation is effective.
 - 2) New Policy-If this is a new policy which has been in effect less than 60 days and is not a renewal, **we** may cancel by providing a statement giving the specific reason or reasons for cancellation and by giving the required notice at least 30 days before cancellation is effective. A renewal of a policy issued by **us** is not a new policy.
 - 3) Policy with Term over One Year-If this policy is written for a term longer than one *year*, **we** may cancel for any reason by giving **you** the required notice at least 45 days (but not more than 60 days) before the anniversary date of the **required policy period**.
 - 4) Non-Renewal-**We** may elect not to renew or continue this policy by giving written notice of **our** intent at least 45 days (but not more than 60 days) before the end of the **required policy period**. This notice shall contain **our** specific reason(s) for non-renewal or conditional renewal. The notice may be delivered to or mailed to **you** at the mailing address shown in the Declarations. Proof of delivery or mailing shall be sufficient proof of notice.
 - 5) All Other Situations-If this policy has been in effect 60 days or more or is a renewal of a policy issued by **us**, **we** may cancel only for the reasons set forth below and by giving the required notice at least 30 days before cancellation is effective.

The reasons are:

 - a. conviction of a crime arising out of acts increasing the hazard insured against;
 - b. discovery of fraud or material misrepresentation in obtaining the policy or in the presentation of a claim thereunder;
 - c. discovery of willful or reckless acts or omissions increasing the hazard insured against;
 - d. physical changes in the property insured occurring after issuance or last annual anniversary date of the policy which result in the property becoming uninsurable in accordance with the insurer's objective, uniformly applied underwriting standards in effect at the time the policy was issued or last voluntarily renewed; or
 - e. a determination by the superintendent that the continuation of the policy would violate or would place the insurer in violation of this chapter. (Chapter 28 of the Consolidated Laws-Insurance Law).

- d. **We** refund premium for the unexpired policy period on a pro rata basis. Any unearned premium amounts under \$5.00 will be refunded only on **your** request.
- e. **Refund of Premium**-Payment or tender of unearned premium is not a condition of cancellation. If the unearned premium is not refunded with the cancellation notice, it will be sent to **you** within a reasonable time.
3. **Conditional Reinstatement**-If **we** issue a cancellation notice because **you** didn't pay the required premium when due and **you** then tender a check, draft or other remittance which is not honored on presentation, **your** policy will terminate on the date and time shown on the cancellation notice and any notice **we** issue which waives the cancellation or reinstates the policy is void. This means that **we** will not be liable under this policy for claims or damages after the date and time indicated on the cancellation notice. **We** will give **you** notice of the dishonor of **your** remittance as soon as practicable but this shall not interrupt the cancellation of this policy.
4. **Change, Modification, or Waiver of Policy Terms**-A waiver or change of any **terms** of this policy must be issued by **us** in writing to be valid. **Our** request for an appraisal or examination under oath does not waive any of **our** rights.
- If **we** adopt any revision of forms or endorsements during a policy period which would broaden coverage under this policy without additional premium, the broadened coverage will automatically apply to this policy.
- If this policy is issued on a continuous basis, (with no specified expiration date) **we** may substitute or add, upon any anniversary date, forms or endorsements which are authorized for use on this policy in accordance with **our** manual rules in effect at the time.
- If the change in forms or endorsements reduces coverage or limits, **we** must notify **you** as provided under the Non-Renewal **terms** contained in this endorsement.
5. **Conformity with Statute-Terms** of this policy, in conflict with the statutes of the state where the premises described in the Declarations are located, are amended to conform to such statutes.
6. **Misrepresentation, Concealment or Fraud**-**We** do not provide coverage if, whether before or after a loss:
- a. An **insured** has willfully concealed or misrepresented:
 - 1) any material fact or circumstance concerning this insurance; or
 - 2) an **insured's** interest herein.
 - b. There has been fraud or false swearing by an **insured** regarding any matter relating to this insurance or the subject thereof.
7. **Inspection**-**We** are permitted but not obligated to inspect **your** property and operations. **Our** inspection or any resulting advice or report does not warrant that **your** property or operations are safe or healthful or are in compliance with any law, rule or regulation.
8. **Policy Premium**-If this policy is issued without a specified expiration date, it may be continued by payment of the required premium for the next annual period. The premium must be paid to **us** on or before each anniversary date.
- Premium is subject to adjustment on the basis of the rates in effect at each anniversary date.
9. **Recoveries**-If **we** pay an **insured** for loss under this policy and lost or damaged property is recovered, or payment is made by those responsible for the loss, the following provisions apply:
- a. The **insured** must notify **us** or **we** will notify the **insured** promptly if either recovers property or receives payment.
 - b. Any proper expenses incurred by either party in making the recovery are reimbursed first.
 - c. The **insured** may keep recovered property by refunding to **us** the amount of the claim paid or any lesser amount to which **we** agree.
 - d. If the claim paid is less than the agreed loss due to a deductible, special limit of liability or other limiting **terms** of the policy, any recovery will be pro-rated between the **insured** and **us** based on **our** respective interests in the loss.
10. **Subrogation**:
- a. If **we** make a payment under this policy, **we** may require that the **insured** assign to **us** his or her right of recovery against any person for the loss to the extent of the payment. The **insured** must do everything necessary to make this assignment and secure **our** rights.
 - b. **We** are not liable for any loss if an **insured** does anything after the loss occurs to impair **our** right to recover. **You** may waive **your** right of recovery in writing before a loss occurs without voiding the coverage.
 - c. If **we** pay a loss to or on behalf of an **insured** and the **insured** recovers damages from another person for the same loss, the **insured** shall hold the amount recovered in trust for **us** and shall reimburse **us** as provided under Recoveries.

11. **Suit Against Us:**

- a. **Property Coverages**-No suit to recover for any property claim may be brought against **us** unless:
 - 1) the **terms** of this policy have been fully complied with; and
 - 2) the suit is commenced within 2 years after the loss.
- b. **Liability Coverage**-No suit may be brought against **us** to recover amounts due for **bodily injury** or **property damage** liability unless:
 - 1) the **terms** of this policy have been fully complied with; and
 - 2) the amount of any **insured's** liability has been conclusively fixed:
 - (a) by a final judgment against the **insured**; or
 - (b) by written agreement of the **insured**, the claimant and **us**.

No person shall have any right under this policy to join or implead **us** in any action brought to determine an **insured's** liability.

12. **Bankruptcy of an Insured**-Bankruptcy or insolvency of any **insured** or his or her estate does not relieve **us** of any of **our** obligations under this policy.

CONDITIONS APPLICABLE TO PROPERTY COVERAGES ONLY

13. **Abandonment of Property**-**We** may take the property or any part of it at the agreed or appraised value, but an **insured** may not abandon the covered property to **us** unless **we** specifically agree.
14. **Appraisal**-If **you** and **we** do not agree on the cost to repair or replace, actual cash value of or amount of loss to covered property when loss occurs, either party may demand that these amounts be determined by appraisal. If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, **you** or **we** can ask a judge of a court of record in the state where the property is located to select an umpire. The appraisers will then determine the amount of the damage stating separately, in detail: the cost to repair or replace, actual cash value of, and amount of loss to each building item and item of personal property. If the appraisers submit a written report of any agreement to **us**, the amount agreed upon will be the amount of the damage or value. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three sets the cost to repair or replace, actual cash value of and amount of loss to each item. Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by **you** and **us**.
15. **No Benefit to Bailee**-Insurance under this policy shall not directly or indirectly benefit any hired carrier or anyone else who is paid for assuming custody of covered property.
16. **Secured Party Coverage-APPLIES ONLY TO COVERAGE ON MANUFACTURED HOMES AND PERSONAL PROPERTY.** (This entire clause is void unless the name of a secured party is inserted in the Declarations. This clause applies only to the interest of a secured party and does not affect the **insured's** rights or duties under the policy).

If a secured party is named in this policy, any loss payable on property subject to the security interest shall be payable to the secured party and **you** as interest may appear. If there is more than one security interest in the same property, the order of payment shall be the same as their order of priority.

If **we** deny **your** claim, that denial shall not apply to valid claim of a secured party, if such party has:

- a. notified **us** of any change in ownership, occupancy or substantial change in risk of which the secured party became aware;
- b. paid any premium due under the policy on demand if **you** have not made such payment; and
- c. submitted a signed, sworn proof of loss within 60 days if an **insured** has failed to do so.

Policy conditions relating to Appraisal, Suit Against **Us** and Loss Payment apply to the secured party. If the policy is canceled by **us**, the secured party shall be notified at least 10 days before the date cancellation takes effect.

If **we** pay the secured party for any loss for which **we** have denied payment to **you**:

- a. **we** are subrogated to all the rights of the secured party granted under the security agreement; or
- b. at **our** option, **we** may pay the secured party the remaining amount due on the security agreement plus interest and receive a full assignment of the security agreement and any securities held as collateral for the agreement.

However, the secured party's interest is not covered for conversion, embezzlement or secretion by an **insured** in possession of the encumbered property, unless specifically insured against and premium paid for such.

17. **Mortgage Clause-APPLIES ONLY TO COVERAGE ON BUILDINGS** (This entire clause is void unless the name of the mortgagee, or trustee under a trust deed, is inserted in the Declarations. This clause applies only to the mortgagee (or trustee) and does not affect the *insured's* rights or duties under this policy.)

Loss, if any, under this policy, shall be payable to the mortgagee (or trustee), named on the Declarations Page of this policy, as interests may appear, under all present or future mortgages upon the property herein described in which the aforesaid may have an interest as mortgagee (or trustee), in order of precedence of said mortgages, and this insurance as to the interest of the mortgagee (or trustee) only therein, shall not be invalidated by any act or neglect of the mortgagor or owner of the within described property, nor by any foreclosure or other proceedings or notice of sale relating to the property, nor by any change in the title or ownership of the property, nor by the occupation of the premises for purposes more hazardous than are permitted by this policy; provided, that in case the mortgagor or owner shall neglect to pay any premium due under this policy, the mortgagee (or trustee) shall, on demand, pay the same.

Provided, also, that the mortgagee (or trustee) shall notify *us* of any change of ownership or occupancy or increase of hazard which shall come to the knowledge of said mortgagee (or trustee) and, unless permitted by this policy, it shall be noted thereon and the mortgagee (or trustee) shall, on demand, pay the premium for such increased hazard for the term of the use thereof; otherwise this policy shall be null and void.

We reserve the right to cancel this policy at any time as provided by its *terms* but in such case this policy shall continue in force for the benefit only of the mortgagee (or trustee) for 10 days after notice to the mortgagee (or trustee) of such cancellation and shall then cease, and *we* shall have the right, on like notice to cancel this agreement.

Whenever *we* shall pay the mortgagee (or trustee) any sum for loss under this policy, and shall claim that, as to the mortgagor or owner, no liability therefore existed, *we* shall, to the extent of such payment, be thereupon legally subrogated to all the rights of the party to whom such payment shall be made, under all securities held as collateral to the mortgage debt; or may at *our* option pay to the mortgagee (or trustee) the whole principal due or to grow due on the mortgage, with interest accrued and shall thereupon receive a full assignment and transfer of the mortgage and of all such other securities; but no subrogation shall impair the right of the mortgagee (or trustee) to recover the full amount of said mortgagee's (or trustee's) claim.



IMPORTANT FLOOD INSURANCE NOTICE

Your homeowners or dwelling policy does NOT provide coverage for loss caused by flood or mudslide, which is defined in part, by the National Flood Insurance Program as:

A general and temporary condition of partial or complete inundation of normally dry land areas from overflow of inland or tidal waters or from the unusual and rapid accumulation or runoff of surface waters from any source.

If you are required by your mortgage lender to have flood insurance on your property, or if you feel that your property is susceptible to flood damage, insurance covering damage from flood is available on most buildings and contents in participating communities through the National Flood Insurance Program.

Information about flood insurance and whether your community participates in the program can be obtained from your insurance company, from your insurance agent/broker, or directly from the National Flood Insurance Program by calling 1-800-638-6620 or via their website at <http://www.floodsmart.gov>.



HOMEOWNER'S ELITE PLUS COVERAGE

Refer to Supplemental Declarations if information is not shown on this form.

For an additional premium, *we* provide coverage under this endorsement subject to the *terms* contained in the General Policy Provisions.

Limitations on Certain Property -The Coverage C-Limitations on Certain Property Section of the General Policy Provisions is deleted and replaced by the following limitations. These special limits do not increase the Coverage C amount of insurance. The special limit for each category below is the total limit per *occurrence* for all property in that category:

- a. \$500 on money, bank notes, bullion, gold other than goldware, silver other than silverware, platinum, coins, medals and numismatic property;
- b. \$2,500 on securities, commercial paper, stamps, philatelic property, tickets, accounts, deeds, evidence of debt, passports, manuscripts, unpublished works and other valuable papers. Commercial paper means drafts, checks, certificates of deposit and notes other than bank notes, including negotiable orders of withdrawal. This special limit is applicable to these properties whether they exist on paper, computer record or other media and it includes the cost to research or replace the information or material;
- c. \$10,000 for loss by theft, mysterious disappearance or unexplained loss of jewelry, watches, precious and semi-precious stones, gems and furs;
- d. \$5,000 for loss by theft, mysterious disappearance or unexplained loss of guns and gun accessories;
- e. \$2,500 on watercraft including their trailers, equipment, accessories and outboard motors;
- f. \$2,500 on trailers not used with watercraft;
- g. \$5,000 for loss by theft, mysterious disappearance or unexplained loss of silverware, goldware, pewterware and items plated with gold or silver.
- h. \$5,000 on *motorized vehicles* used exclusively to service the *insured premises* and not designed or licensed for use on public roads;
- i. \$2,500 on grave markers;
- j. \$2,000 on electronic apparatus and its accessories when loss or damage occurs:
 1. While in or on a *motorized vehicle* if the electronic apparatus is adapted for operations from the electrical system of a *motorized vehicle* and by other electrical source(s);
 2. While away from a *motorized vehicle* if that electronic apparatus is adapted for operation from the electrical system of any *motorized vehicle* and by other electrical source(s). The electronic apparatus must be away from the *insured premises*. This limit also applies to electronic apparatus used for *business* purposes; and
- k. \$500 on property, away from the *insured premises*, used at any time or in any manner for any *business* purpose.

The following property is covered only while on the *insured premises* and is limited to the amounts stated:

- a. \$5,000 on property, on the *insured premises*, used at any time or in any manner for any *business* purpose;
- b. \$1,000 on dismounted camper bodies and trailers not used with watercraft; or
- c. \$1,000 on *your* property consisting of domestic appliances in an apartment which *you* rent or hold for rental to others.

Refrigerated Food Products

We cover loss to *your* contents in a freezer or refrigerator unit located at the covered *residence*. The most *we* will pay in any one covered *occurrence* is \$500.

The loss must be caused by change in temperature resulting from:

1. Interruption of electrical service to refrigeration equipment. The interruption must be caused by damage to the generating or transmission equipment.
2. Mechanical or electrical breakdown of the refrigeration system.

You must maintain the refrigeration equipment in proper working condition.

No deductible applies to refrigerated food products.

Coverage L-Personal Liability

How Much *We* Pay For Loss Or Claim

The limit of liability shown for **Coverage L – Personal Liability** is increased by \$100,000. Prejudgment interest assessed against an *insured* on a covered award is included. *We* will not pay more than the limit of liability for damages and interest assessed as a result of an *occurrence*.

Incidental Liability Coverages

How Much *We* Pay For Loss Or Claim

The limit of liability shown for **Damage To Property Of Others** is increased by \$500.

Coverage M-Medical Payments to Others

How Much *We* Pay For Loss Or Claim

The limit of liability shown for **Coverage M - Medical Payments to Others** is increased by \$1,000.

Personal Injury Coverage

Any *personal injury* coverage contained in *your* policy is deleted and replaced as follows:

Coverage L is extended to include coverage for *personal injury*.

WHAT *WE* PAY FOR

We pay for *personal injury* liability from a covered offense committed during the policy period.

EXCLUSIONS

This insurance does not apply to *personal injury*:

1. Resulting from liability assumed by an *insured* under any contract or agreement. However, this exclusion does not apply to liability an *insured* would have had in the absence of the contract or agreement;
2. Resulting from the willful violation of a law or ordinance by an *insured*, at the direction of an *insured*, or with the consent of an *insured*;
3. To a person resulting from an offense directly or indirectly related to the person's employment by an *insured*;
4. Caused by a publication, statement, or act, in any manner, which first took place before the effective date of this policy;
5. Caused by a publication or statement, in any manner, made by an *insured*, at the direction of an *insured*, or with the consent of an *insured*, if the *insured* knew or had reason to believe that the publication or statement was false;
6. Caused by an *insured*, at the direction of an *insured*, or with the consent of an *insured*, with the knowledge that the act would violate the rights of another in the course of inflicting *personal injury*;

7. Resulting from **business** activities of an **insured** conducted on the **insured premises**, whether or not the **business** is owned or operated by an **insured** or employs an **insured**. However, this exclusion does not apply to:
 - a. The occasional rental of the portion of the **insured premises** normally occupied by **you**, exclusively for residential purposes;
 - b. The rental of any other portion of the **insured premises** for residential purposes, however, no family unit may include more than two roomers or boarders;
 - c. The rental of a portion of the **insured premises** as a school, studio, office or private garage;
 - d. Incidental activities normally performed by minors; or
 - e. Activities in conjunction with **business** pursuits which are ordinarily considered **non-business** in nature.
8. Resulting from electronic **chat rooms**, **bulletin boards**, **gripe sites**, **social media** or other electronic forums that an **insured** hosts or owns, or has the control or authority to update. However, this exclusion does not apply to **personal injury** arising from content posted by an **insured** or provided by an **insured** for posting by third parties to a web site, blog or other electronic forum;
9. Resulting from criminal behavior by an **insured**, at the direction of an **insured**, or with the consent of an **insured**;
10. Resulting from civic duties or public activities performed for pay by an **insured**;
11. To an **insured**, and this exclusion also applies to any claim made or suit brought against an **insured** to repay or share damages with another person who may be obligated to pay damages because of **personal injury** to an **insured**; or
12. Resulting from **cyber bullying**.

Definitions

1. **Bulletin board** means an electronic board for the posting of bulletins, notices or announcements.
2. **Chat room** means a branch of a computer network in which participants can engage in real-time discussion with one another.
3. **Cyber bullying** means using the internet, cell phones or other digital devices to harm others by name-calling, teasing, spreading false rumors or gossip, threats, aggression, or otherwise harm others or their reputation.
4. **Gripe site** means electronic websites that criticize a product, service, person or organization.
5. **Personal injury** means injury arising out of these offenses committed during the policy period:
 - a. False arrest, detention, imprisonment or malicious prosecution;
 - b. Wrongful eviction from, wrongful entry into or invasion of the right of private occupancy of any residential premises or part thereof that a person occupies, committed by or on behalf of the owner, landlord or lessor;
 - c. Oral or written publication, of any kind and in any manner, that defames a person or organization by slander or libel or disparages that person's or organization's reputation, work, goods, products or services; or
 - d. Oral or written publication, of any kind, and in any manner, that violates a person's right to privacy.
6. **Social media** means the interaction among people in which they create, share or exchange information and ideas in virtual communities and networks using mobile or web-based technologies.

All other **terms** and conditions remain unchanged.

Replacement of Locks

We pay up to \$500 per *occurrence* for replacement of locks comprising a part of *your residence* when there has been a covered theft of keys for use with those locks.

Ordinance and Law Coverage

We will pay the extra amount, not to exceed \$5,000 per *occurrence*, for increased cost due to the enforcement of any ordinance or law.

What *We* Pay For

When this endorsement is in effect, the Ordinance and Law exclusion found in the Policy Agreement is deleted and replaced as follows:

1. *We* will adjust covered losses to the covered building(s) in accordance with any ordinance or law which governs repair, restoration or demolition of the building(s).
2. When breakage of glass is covered, *we* will replace damaged glass with safety glazing materials where required by ordinance or law.

This coverage does not increase the amount of insurance as shown on the Declarations Page. All other *terms* and conditions of *your* policy remain unchanged.

Damage by Domestic Animals

We will cover loss or damage to *your* property caused by domestic animals, excepting domestic animals that *you* own or keep.

Added Water Damages Coverages

We pay up to \$10,000 per *occurrence* for direct loss to property caused by the backup of water:

1. through sewers and/or drains; and
2. through sump basins caused by failure of sump pump operation.

Exclusions-Added Water Damages Coverage

These additional exclusions apply to Added Water Damages Coverage:

We do not pay for:

1. loss or damage resulting from an *insured's* negligence;
2. loss or damage resulting from an *insured's* neglect or failure to service or maintain the sump pump or any plumbing appliance; or
3. generalized or localized flooding resulting from excess runoff or overflow of streams, rivers or other bodies of water.

Debris Removal Extensions

The following extensions of coverage are applicable:

1. An additional 5% of the amount of insurance is available for covered debris removal expenses when the amount of loss and debris removal expense exceeds the amount of insurance.
2. In addition to the covered causes of loss pertaining to trees, plants, shrubs and lawns as shown in Incidental Property Coverages, *we* pay up to \$500 for removal of *your* tree(s) felled by windstorm or the weight of ice, snow or sleet. This limit is the maximum payable per *occurrence* without regard to the number of trees affected. This coverage does not apply to trees, plants, shrubs or lawns:
 - a) grown for commercial purposes; or
 - b) located more than 250 feet from the *residence* on the *insured premises*.

Incidental Property Coverages

Credit Card, Forgery and Counterfeit Money

a. *We* pay up to \$ 2,500 for loss sustained by an *insured* when such *insured*:

- 1) becomes legally obligated to pay for the unauthorized use of *credit cards* issued or registered in the *insured's* name;
- 2) suffers a loss through the forgery or alteration of checks, drafts, certificates of deposit and notes including negotiable orders of withdrawal; or
- 3) accepts in good faith, counterfeit United States or Canadian paper currency.

b. *We* do not pay for loss if:

- 1) the *insured* has not complied with the *terms* under which the *credit card* was issued;
- 2) the loss is caused by the dishonesty of an *insured*;
- 3) the loss results from *business* activities of an *insured*; or
- 4) the loss occurs while a person, not an *insured*, has possession of the *credit card* with an *insured's* permission.

Equipment Breakdown Enhancement

How Much *We* Pay

Equipment breakdown coverage is subject to a \$5,000 per occurrence limit. *Equipment breakdown* coverage is subject to a \$500 per occurrence deductible.

Covered Causes Of Loss

We pay for direct physical loss to covered property caused by covered *equipment breakdown* as provided by this endorsement.

Conditions Applicable To *Equipment Breakdown*

1. *Equipment breakdown* is added to the covered causes of loss shown in *your* policy.
2. For the coverage provided by this endorsement, the specific *terms* and conditions of this endorsement shall take precedence over any other conflicting *terms* and conditions stated in any other part of *your* policy.
3. The additional *terms* and conditions applicable to the coverage extensions shown below shall be in addition to all other *terms* and conditions of *your* policy.
4. Any specific amounts of insurance shown in this endorsement shall take precedence over any other amounts of insurance or limits of liability shown elsewhere in *your* policy.
5. *Equipment breakdown* coverage does not extend beyond the *insured premises*.
6. Whenever covered property is found to be in, or exposed to, a dangerous condition, any of *our* representatives may immediately suspend the insurance against loss or damage to that covered property for the causes of loss covered by this endorsement. Coverage can be suspended and possibly reinstated by delivering or mailing a written notice of suspension / coverage reinstatement to *your* last known address or the address where the covered property is located. Once suspended, *your* insurance can be reinstated only by an endorsement to this policy for that equipment. If *we* suspend *your* insurance, *you* will get a pro rata refund of premium. But, the suspension will be effective even if *we* have not yet made or offered a refund.

What *We* Pay For

Equipment breakdown means:

Direct physical loss or damage both originating within:

1. Boilers, fired or unfired pressure vessels, vacuum vessels, and pressure piping, all normally subject to vacuum or internal pressure other than static pressure of contents, excluding: waste disposal piping; any piping forming part of a fire protective system; and any water piping other than: boiler feed water piping between the feed pump and the boiler; boiler condensate return piping; or water piping forming part of a refrigerating or air conditioning system used for cooling, humidifying or space heating purposes;

2. Any mechanical, electrical, electronic or fiber optic equipment; and caused by, resulting from, or consisting of: mechanical breakdown, electrical breakdown, electronic breakdown, rupture, bursting, bulging, implosion, or steam explosion.

What We Do Not Pay For

Equipment breakdown will not mean direct physical loss or damage caused by or resulting from any of the following; however, if loss or damage not otherwise excluded results, then **we** will pay for such resulting damage:

1. Wear and tear; rust or other corrosion, decay, deterioration, hidden or latent defect, mold or any other quality in property that causes it to damage or destroy itself; smog; settling, cracking, shrinking or expansion; nesting or infestation, or discharge or release of waste products or secretions, by birds, rodents or other animals; any accident, loss, damage, cost, claim or expense, whether preventative, remedial, or otherwise, directly or indirectly arising out of or relating to the recognition, interpretation, calculation, comparison, differentiation, sequencing, or processing of data by any computer system including any hardware, programs, or software; scratching and marring;
2. Loss, damage, cost or expense directly caused by, contributed to, resulting from or arising out of the following causes of loss: fire; lightning; combustion explosion; windstorm; hail; weight of ice, snow; or sleet; freezing; falling objects; smoke; aircraft or vehicles; riot or civil commotion; vandalism; sinkhole collapse; volcanic action; leakage from fire extinguishing equipment; water; water damage; earth movement; and flood.

All other **terms** and conditions remain unchanged.



POLICY ENDORSEMENT

We provide coverage under this endorsement subject to the *terms* contained in *your* policy.

ADDITIONAL EXCLUSIONS

The exclusions applicable to the Personal Liability and Medical Payments coverage of *your* policy are supplemented with the following additional exclusions:

1. This personal liability coverage does not apply to liability for *bodily injury* or *property damage* caused intentionally or maliciously by or at the direction of any *insured*. This exclusion applies even if the *bodily injury* or *property damage* was not intended or was different than what was intended. *Bodily injury* and *property damage* resulting from the use of reasonable force to protect people or property are excepted from this exclusion;
2. This personal liability coverage does not apply to liability arising directly or indirectly out of instances, occurrences or allegations of criminal activity by any *insured* or *employees* of an *insured* named in this policy.

All other *terms* and conditions remain unchanged.



PREMISES ALARM OR FIRE PROTECTION SYSTEM

The coverage under this endorsement is subject to the *terms* contained in the General Policy Provisions.

The premium for this policy includes a credit for the installation of a fire alarm, burglar alarm or automatic sprinkler system approved by *us* on the *insured premises*. *You* agree to maintain said system in working order and to notify *us* promptly when the system becomes inoperative or has been removed.



UNDERGROUND UTILITY LINE ENDORSEMENT

Refer to Supplemental Declarations if information is not shown on this form.

We provide coverage under this endorsement subject to the **terms** contained in the General Policy Provisions.

Policy Number: HO 0102050

Named Insured: Bertram Pellier & Malcolm Marsh

SCHEDULE

Underground Utility Line Coverage Per Occurrence Limit:	<u>\$10,000</u>
Underground Utility Line Coverage Per Occurrence Deductible:	<u>\$500</u>

This policy is amended to include the following **terms** outlined below. All other **terms** of the policy apply, except as amended by this endorsement.

UNDERGROUND UTILITY LINE COVERAGE

We cover direct physical loss to **underground utility line covered property** that is caused by an **underground utility line occurrence** at the **insured premises**. Underground Utility Line Coverage extends to any Coverage D provided in the policy to which this endorsement attaches. The Underground Utility Line Coverage Per **Occurrence** Limit shown in the Schedule above is the most *we* pay for any one loss, regardless of the number of **underground utility line occurrences**.

DEFINITIONS

The following definitions are added:

1. **Underground Utility Line Covered Property** as used herein means any piping or wiring that provides the following services to an **insured premises**: electrical power, heating, natural gas, waste disposal, compressed air, water, steam, internet access, telecommunications services, wide area networks or data transmission. However, **underground utility line covered property** does not include any piping or wiring that is above ground.

2. **Underground Utility Line Occurrence** as used herein means loss or damage caused by:

- a. Wear and tear;
- b. Rust or other corrosion, decay, deterioration, hidden or latent defect;
- c. Collapse;
- d. Electrical, mechanical or pressure systems breakdown; or
- e. Freezing.

Underground utility line occurrence will only apply to causes of loss listed above. However, **underground utility occurrence** will include any excavation costs associated with the repair or replacement of **underground utility line covered property**.

3. **Green** means products, materials, methods and processes certified by a **green authority** that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.
4. **Green authority** means an authority on **green** buildings, products, materials, methods or processes certified and accepted by Leadership in Energy and Environmental Design (LEED®), Green Building Initiative Green Globes®, Energy Star Rating System or any other recognized **green** rating system.

HOW MUCH *WE* PAY FOR LOSS OR CLAIM

1. In the General Policy Provisions, under Property Coverages, Deductible is deleted and replaced by the following with respect to the coverage provided by this endorsement.

Deductible

- a. The deductible shown in the Schedule above applies to all coverages provided by this endorsement.
 - b. Subject to the limit set forth in the Schedule above, *we* pay that part of the loss, damage, or expense over the deductible. Only one deductible applies at each location.
2. Subject to the other *terms* shown under How Much *We* Pay For Loss Or Claim in the General Policy Provisions, and the *terms* of this endorsement, *we* settle Underground Utility Line losses according to the Replacement Cost Terms.

Replacement Cost Terms - The smaller of the following amounts is used in computing How Much *We* Pay For Loss or Claim for Underground Utility Line losses:

- a. The cost, at the time of loss, to replace the lost or damaged part of the property, without deduction for depreciation;
- b. The cost, at the time of loss, to repair the damaged part of the property; or
- c. The limit set forth in the Schedule above.

EXTENSION OF COVERAGE

Green Environmental, Safety, and Efficiency Improvements

If covered property requires repair or replacement due to an *underground utility line occurrence*, *we* will pay:

1. The additional cost to repair or replace that property with equipment that is better for the environment, safer, or more efficient than the equipment being repaired or replaced;
2. The additional reasonable and necessary fees incurred by the *insured* for an accredited professional certified by a *green authority* to participate in the repair or replacement of physically damaged covered property as *green*;
3. The additional reasonable and necessary cost incurred by the *insured* for certification or recertification of the repaired or replaced *underground utility line covered property* as *green*;
4. The additional reasonable and necessary cost incurred by the *insured* for *green* in the removal, disposal or recycling of damaged *underground utility line covered property*; or
5. The Coverage D loss during the additional time required for repair or replacement of covered property, consistent with *green*, in the coverages above.

However, *we* will not pay more than 150% of what the cost would have been to repair or replace such property with like kind and quality, inclusive of fees, costs, and any loss of use loss incurred as stated above.

This Extension of Coverage will be part of, and not an addition to, the limit set forth in the Schedule above.



EQUIPMENT BREAKDOWN ENHANCEMENT ENDORSEMENT **(For Use with Homeowners Policies)**

Refer to Supplemental Declarations if information is not shown on this form.

We provide coverage under this endorsement subject to the **terms** contained in the General Policy Provisions.

Policy Number: HO 0102050

Named Insured: Bertram Pellier & Malcolm Marsh

HOW MUCH WE PAY

Equipment breakdown coverage is subject to a \$100,000 per occurrence limit. *Equipment breakdown* coverage is subject to a \$500 per occurrence deductible.

COVERED CAUSES OF LOSS

We pay for direct physical loss to covered property caused by covered *equipment breakdown* as provided by this endorsement.

CONDITIONS APPLICABLE TO EQUIPMENT BREAKDOWN

1. *Equipment breakdown* is added to the covered causes of loss shown in *your* policy.
2. For the coverage provided by this endorsement, the specific **terms** and conditions of this endorsement shall take precedence over any other conflicting **terms** and conditions stated in any other part of *your* policy.
3. The additional **terms** and conditions applicable to the coverage extensions shown below shall be in addition to all other **terms** and conditions of *your* policy.
4. Any specific amounts of insurance shown in this endorsement shall take precedence over any other amounts of insurance or limits of liability shown elsewhere in *your* policy.
5. *Equipment breakdown* coverage does not extend beyond the *insured premises*, except as provided in the EXTENSIONS OF COVERAGE for Consequential Losses and Off Premises Coverage.
6. Whenever covered property is found to be in, or exposed to, a dangerous condition, any of *our* representatives may immediately suspend the insurance against loss or damage to that covered property for the causes of loss covered by this endorsement. Coverage can be suspended and possibly reinstated by delivering or mailing a written notice of suspension / coverage reinstatement to *your* last known address or the address where the covered property is located. Once suspended, *your* insurance can be reinstated only by an endorsement to this policy for that equipment. If *we* suspend *your* insurance, *you* will get a pro rata refund of premium. But, the suspension will be effective even if *we* have not yet made or offered a refund.

WHAT WE PAY FOR

Equipment breakdown means:

Direct physical loss or damage both originating within:

1. Boilers, fired or unfired pressure vessels, vacuum vessels, and pressure piping, all normally subject to vacuum or internal pressure other than static pressure of contents, excluding: waste disposal piping; any piping forming part of a fire protective system; and any water piping other than: boiler feed water piping between the feed pump and the boiler; boiler condensate return piping; or water piping forming part of a refrigerating or air conditioning system used for cooling, humidifying or space heating purposes;
2. Any mechanical, electrical, electronic or fiber optic equipment; and caused by, resulting from, or consisting of: mechanical breakdown, electrical breakdown, electronic breakdown, rupture, bursting, bulging, implosion, or steam explosion.

WHAT WE DO NOT PAY FOR

Equipment breakdown will not mean direct physical loss or damage caused by or resulting from any of the following; however, if loss or damage not otherwise excluded results, then **we** will pay for such resulting damage:

1. Wear and tear; rust or other corrosion, decay, deterioration, hidden or latent defect, mold or any other quality in property that causes it to damage or destroy itself; smog; settling, cracking, shrinking or expansion; nesting or infestation, or discharge or release of waste products or secretions, by birds, rodents or other animals; any accident, loss, damage, cost, claim or expense, whether preventative, remedial, or otherwise, directly or indirectly arising out of or relating to the recognition, interpretation, calculation, comparison, differentiation, sequencing, or processing of data by any computer system including any hardware, programs, or software; scratching and marring;
2. Loss, damage, cost or expense directly caused by, contributed to, resulting from or arising out of the following causes of loss: fire; lightning; combustion explosion; windstorm; hail; weight of ice, snow; or sleet; freezing; falling objects; smoke; aircraft or vehicles; riot or civil commotion; vandalism; sinkhole collapse; volcanic action; leakage from fire extinguishing equipment; water; water damage; earth movement; and flood.

EXTENSIONS OF COVERAGE

1. Hazardous Substances Remediation:

We pay up to \$10,000 for reasonable expenses **you** incur for clean up and disposal of pollutants generated by a covered **equipment breakdown** and for repair or replacement of covered property which is damaged, contaminated, or polluted by a released substance declared by an authorized governmental agency to be hazardous to health. This extension of coverage does not increase the amount of insurance provided by this endorsement.

2. Consequential Losses:

We pay up to \$10,000 for loss of perishable goods due to spoilage resulting from lack of power, light, heat, steam or refrigeration caused by an **equipment breakdown** to personal property. The damaged personal property must be on or within 1,000 feet of the **insured premises** and it must be property owned by **you** or property of others for which **you** are legally liable. This extension of coverage does not increase the amount of insurance provided by this endorsement.

3. Expediting Expenses:

We will pay for the expediting expenses incurred as a result of an **equipment breakdown** with respect to **your** damaged covered property. **We** will pay the **reasonable extra cost** to make temporary repairs, expedite permanent repairs and expedite permanent replacement.

Reasonable extra cost shall mean the extra cost of temporary repair and of expediting the repair of such damaged equipment of the **insured**, including overtime and the extra cost of express or other rapid means of transportation.

4. Refrigerant Contamination:

We pay for loss to personal property contaminated by escaping refrigerant caused by an **equipment breakdown** to refrigerating, cooling or humidity control equipment at the **insured premises**. The most **we** pay is \$10,000 in any single occurrence for loss or damage covered under this coverage extension. This extension of coverage does not increase the amount of insurance provided by this endorsement.

5. Green Environmental, Safety and Efficiency Improvements:

If covered property requires repair or replacement due to an **equipment breakdown**, **we** will pay:

- a. The additional cost to repair or replace that property with property that is better for the environment, safer, or more efficient than the property being repaired or replaced.
- b. The additional reasonable and necessary fees incurred by **you** for an accredited professional certified by a **green authority** to participate in the repair or replacement of physically damaged covered property as **green**.
- c. The additional reasonable and necessary cost incurred by **you** for certification or recertification of the repaired or replaced covered property as **green**.
- d. The additional reasonable and necessary cost incurred by **you** for **green** in the removal, disposal or recycling of damaged covered property.
- e. The Coverage D loss during the additional time required for repair or replacement of covered property, consistent with **green**, in the coverages above.

However, **we** will not pay more than 150% of what the cost would have been to repair or replace such property with like kind and quality inclusive of fees, costs, and any Coverage D loss incurred as stated above. This extension of coverage does not increase any of the applicable limits. This extension of coverage does not apply to any property to which Actual Cash Value applies.

Green means products, materials, methods and processes certified by a **green authority** that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.

Green authority means an authority on **green** buildings, products, materials, methods or processes certified and accepted by Leadership in Energy and Environmental Design (LEED®), Green Building Initiative Green Globes®, Energy Star Rating System or any other recognized **green** rating system.

6. Off Premises Coverage:

We will pay up to \$10,000 for loss or damage to covered property as a result of an **equipment breakdown** while temporarily at a premises or location that is not an **insured premises**. This coverage does not apply to any **motorized vehicles**. This extension of coverage does not increase the amount of insurance provided by this endorsement.

All other **terms** and conditions remain unchanged.



RENEWAL ENDORSEMENT

Refer to Supplemental Declarations if information is not shown on this form.

We provide coverage under this endorsement subject to the *terms* contained in the General Policy Provisions.

This policy may be continued by payment of the required premium for the next policy period. The premium must be paid to *us* as specified in the premium notice.

If any of the forms attached to *your* policy are revised, *we* will enclose a copy of that revision with *your* renewal policy.

If *we* adopt any revision of forms or endorsements during a policy period which would broaden coverage under this policy without additional premium, *your* policy will be liberalized to include that broadened coverage.

----- Please Note -----
Important Information
Regarding Your Renewal

This Continuation certificate is conditional on payment of the required premium for the next policy period.

This is an important insurance document and it should be retained with your policy.

Please refer to your policy for a complete description of your coverages and forms. Please contact your agent for assistance. Thank you.

Erie and Niagara Insurance Association

ML-430B

Ed. 1/91



CAUSES OF LOSS SECTION-COVERAGES A, B, C, AND D (CAUSES OF LOSS AND REPLACEMENT COST PROVISIONS)

Coverage A-Residence, Coverage B-Related Private Structures on the Premises and Coverage C- Personal Property

We cover the *Residence, Related Private Structures on the Premises* and *Personal Property* against risks of direct physical loss unless specifically excluded.

EXCLUSIONS-Applicable to Coverage A and Coverage B.

In addition to the exclusions contained in the General Policy Provisions, the following exclusions also apply:

1. **Freezing, Discharge, Leakage or Overflow-Unoccupied Residence**-if the *residence* is vacant, unoccupied (including temporary absence) or under construction and unoccupied, *you* must take reasonable care to:
 - a. maintain heat in the building; or
 - b. shut off the water supply and completely empty liquids from any plumbing, heating, air-conditioning or automatic fire protective sprinkler system or domestic appliance.If *you* fail to do this, *we* do not pay for loss caused by freezing or the resulting discharge, leakage or overflow from such system or domestic appliance.
2. **Freezing, Thawing, Pressure or Weight of Ice or Water**-*We* do not pay for damage to structures (other than buildings, carports or manufactured homes) such as swimming pools, fences, retaining walls, septic tanks, piers, wharves, foundations, patios and paved areas caused by freezing, thawing, or pressure or weight of ice or water, whether wind driven or not.
3. **Seepage or Leakage**-*We* do not pay for loss caused by repeated or continuous seepage or leakage of liquids or steam from within a plumbing, heating, air-conditioning, automatic fire protective sprinkler system or domestic appliance. Except as provided above, *we* pay for loss caused by the accidental leakage, overflow, or discharge of liquids or steam from a plumbing, heating, air-conditioning, automatic fire protective sprinkler system or domestic appliance. *We* also pay the reasonable cost of removing and replacing those parts of the building or manufactured home necessary to make repairs. *We* do not pay for loss to the system or domestic appliance from which the liquid or steam escapes.

EXCLUSIONS-Applicable to Coverage A, Coverage B and Coverage C.

In addition to the exclusions contained in the General Policy Provisions, the following exclusions also apply.

4. **Theft**-*We* do not pay for theft or attempted theft from the *insured premises* while a *residence* is:
 - a. under construction and unoccupied; or
 - b. vacant for more than 30 consecutive days immediately before the loss.
5. **Vandalism and Malicious Mischief or Glass Breakage**-*We* do not pay for loss caused by vandalism, malicious mischief or breakage of glass or other glazing materials while the *residence* is vacant for more than 30 consecutive days immediately before the loss. A *residence* under construction is not considered vacant.
6. **Settling, Cracking, Shrinking, Bulging or Expanding**-*We* do not pay for loss caused by the settling cracking, shrinking, bulging or expanding of a building or manufactured home (or any part of a building or manufactured home), pavements, patios or any other outdoor structures.
7. **Birds, Vermin, Rodents, Insects or Domestic Animals**-*We* do not pay for loss caused by birds, vermin, rodents, insects or domestic animals. *We* pay for loss or damage by domestic animals other than those domestic animals owned or kept by an *insured*.
8. **Smoke**-*We* do not pay for damage caused by smoke from agricultural smudging or industrial operations.
We pay for direct loss by fires explosion or smoke (not otherwise excluded) which results from any of the above.

EXCLUSIONS-Applicable to Coverage C.

In addition to the exclusions contained in the General Policy Provisions, the following exclusions also apply.

9. **We do not pay for loss or damage:**
 - a. by deterioration, wear and tear, insect, vermin, inherent vice, or damage due to repairing, refinishing or while being worked on, unless fire ensues and then only for the loss or damage by such ensuing fire;

- b. by mechanical breakdown, rust, fouling or explosion of fire arms; or
- c. by breakage, marring or scratching of eyeglasses, glassware, statuary, porcelains and similar fragile or brittle articles other than jewelry, watches, photographic lenses and cameras.

WHAT WE PAY FOR

Our limit of Liability-**We** pay the lesser of the following amounts for each covered item:

1. the applicable limit of liability;
2. the extent of **your** insurable interest in the property;
3. the **replacement cost** of the property as defined in this policy;
4. the amount computed after application of the deductible or other limitation applying to the loss; or
5. the full cost to repair or replace the property.

REPLACEMENT COST PROVISION

We agree to extend Coverages A, B and C to cover the **replacement cost** of the covered real and personal property.

The following provisions apply:

1. **Definition - Replacement Cost** means the cost to repair or replace the property with new property of equivalent kind and quality to the extent practicable, without deduction for depreciation.

2. **Replacement cost** limitations

This form does not apply to the following property:

- a. any building not having a permanent foundation and roof;
- b. outdoor structures (other than buildings) which are not permanent components or fixtures of a building. These include (but are not limited to) swimming pools, fences, paved areas, submersible pumps and sump pumps;
- c. curtains and drapes;
- d. awnings and canopies;
- e. **Business** property;
- f. property not owned by an **insured**;
- g. film, tapes, cassettes, records, magnetic recordings or similar property;
- h. antiques, fine arts and similar items of antiquity or rarity that cannot be replaced;
- i. property covered by any scheduled insurance;
- j. collections, memorabilia, photographs or similar items whose age or history contribute to their value;
- k. property which by its inherent nature cannot be replaced; and
- l. articles that are not maintained in working order, articles in storage and not in use and obsolete or outmoded articles.

Actual cash value provisions apply to property described (a) through (1) above.

3. When the cost to repair or replace exceeds the lesser of \$1,000 or 5 percent of the applicable amount of insurance on the damaged building(s) or personal property, **we** are not liable for more than the actual cash value of the loss until actual repair or replacement is completed.
4. **You** may make a claim for the actual cash value amount of the loss before repairs are made. A claim for any additional amount payable under this provision must be made within 180 days after the loss.



ADDED WATER DAMAGES COVERAGE

Refer to Supplemental Declarations if information is not shown on this form.

For an additional premium, *we* provide the following coverage under this endorsement subject to the *terms* contained in the General Policy provisions.

The amount of Added Water Damages Coverage provided in this endorsement is in addition to any other Added Water Damages Coverage contained in *your* policy.

Added Water Damages Coverage

We pay up to \$10,000 per *occurrence* for direct loss to property caused by the backup of water on the *insured premises*:

1. Through sewers and/or drains; and
2. Through sump basins caused by failure of sump pump operation.

Exclusions - Added Water Damages Coverage

These additional exclusions apply to this Added Water Damages Coverage:

We Do Not Pay For:

1. Loss or damage resulting from an *insured's* negligence;
2. Loss or damage resulting from an *insured's* neglect or failure to service or maintain the sump pump or any plumbing appliance; or
3. Generalized or localized flooding resulting from excess runoff or overflow of streams, rivers or other bodies of water.

All other *terms* and conditions remain unchanged.



SUDDEN AND ACCIDENTAL POLLUTION ENDORSEMENT

The coverage under this endorsement is subject to the **terms** contained in the Liability Coverage Section.

Under Exclusions that Apply to Both Personal Liability and Medical Payments to Others, the pollution exclusion, (Exclusion k on form ML-9 1/87 and Exclusion l on form ML-10 1/87), is deleted and replaced by the following:

This policy does not apply to liability resulting from the discharge, dispersal, release or escape of solid, liquid or gaseous waste materials or other pollutants into or upon land, the atmosphere or any watercourse or body of water; but this exclusion does not apply if such discharge, dispersal, release or escape is sudden and accidental.

This exclusion does not apply to ***bodily injury or property damage*** caused by heat, smoke or fumes from a hostile fire. For the purpose of this exclusion, hostile fire means a fire which becomes uncontrollable or breaks out from where it was intended to be.



NEW YORK AMENDATORY ENDORSEMENT (For Use With ML-20 6/99, ML-9 1/87, ML-10 1/87, ML-9A 6/99 or ML-10F 6/99)

The coverage under this endorsement is subject to the *terms* contained in the General Policy Provisions.

This endorsement amends ML-20 6/99, subparagraph 4. Insurance Under More Than One Policy located under the section entitled, **HOW MUCH WE PAY FOR LOSS OR CLAIM**, in *your* policy.

ML-20 6/99, Subsection 4. Insurance Under More Than One Policy, should read as follows:

4. **Insurance Under More Than One Policy** - Where property coverage is involved, if there is other collectible insurance that applies to the loss, *we* pay *our* share of the loss. *Our* share is that part of the loss that the amount of insurance stated in the policy bears to the total amount of insurance that applies to the loss. When a loss is also covered by the master policy of a condominium association, this insurance is excess.
- Where personal liability and medical payments to others is involved, this insurance is excess over other valid and collectible insurance that applies to the loss or claim.

AND

This endorsement amends Exclusion o. of ML-9 1/87 and Exclusion p. of ML-10 1/87 in *your* Liability Coverage Section under the section entitled, Exclusions that Apply to Both Personal Liability and Medical Payments to Others.

Exclusion o. in form ML-9 is amended to read as follows:

Exclusion p. in form ML-10 is amended to read as follows:

This policy does not apply to liability arising directly or indirectly out of instances, *occurrences* or allegations of criminal activity by the *insured* or by employees of the *insured* named in this policy.

AND

The following clarification is added to subsection 3. Claims and Defense Expense Coverage under **Incidental Liability and Medical Payments Coverages** in the ML-9 1/87, ML-10 1/87, ML-9A 6/99 and ML-10F 6/99.

Subsection 3. is amended to include:

This policy does not cover punitive damages, exemplary damages or damages other than compensatory damages and related defense costs. This clarification applies without regard to any provision of this policy or any endorsement attached to it.



LIABILITY COVERAGE SECTION PRINCIPAL LIABILITY AND MEDICAL PAYMENTS COVERAGES

Coverage L-Personal Liability

We pay, up to *our* limit of liability, all sums for which any *insured* is legally liable because of *bodily injury* or *property damage* caused by an *occurrence* to which this coverage applies.

We will defend (with counsel of *our* own choice) any suit seeking damages, provided the suit resulted from *bodily injury* or *property damage* not excluded under this coverage. *We* may make any investigation and settle any claim or suit that *we* decide is appropriate. *We* are not obligated to provide a defense after *we* have paid, either by judgment or settlement, an amount equal to *our* limit of liability.

Coverage M-Medical Payments To Others

We pay the necessary *medical expenses* incurred or medically determined within three years from the date of an accident causing *bodily injury* to which this coverage applies. This coverage applies only:

1. to a person on the *insured premises* with the permission of any *insured*; or
2. to a person away from the *insured premises* if the *bodily injury*:
 - a. results from a condition on the *insured premises*;
 - b. is caused by the activities of any *insured*;
 - c. is caused by a person while performing duties as a *domestic employee* of any *insured*;
 - d. is caused by an animal owned by or in the care of any *insured*; or
 - e. is suffered by a *domestic employee* and arises out of and in the course of employment by any *insured*.

INCIDENTAL LIABILITY AND MEDICAL PAYMENTS COVERAGES

This policy provides the following Incidental Liability and Medical Payments Coverages. These incidental coverages are subject to the *terms* of the Principal Liability and Medical Payments to Others coverages. These incidental coverages do not increase the limit of liability stated for the principal coverages except: Claims and Defense Expense Coverage and First Aid Expense Coverage.

1. **Damage to Property of Others**-Regardless of an *insured's* legal liability, *we* either pay for property of others damaged or destroyed by an *insured* or *we* repair or replace the property, to the extent practicable, with property of equivalent kind and quality. *Our* limit of liability for this coverage is \$500 per *occurrence*.

We do not pay for damage to property:

- a. owned by, rented to or leased to any *insured*, any other resident of *your* household, or tenant of any *insured*;
 - b. caused intentionally by any *insured* who has attained the age of 13;
 - c. covered under this policy under Property Coverages; or
 - d. resulting in whole or in part from:
 - 1) activities in connection with an *insured's business*;
 - 2) premises owned by, rented to or controlled by an *insured* other than the *insured premises*; or
 - 3) the ownership, operation, maintenance, use, occupancy, renting, loaning, entrusting, supervision, loading or unloading of *motorized vehicles*, aircraft or watercraft.
2. **Contracts and Agreements Coverage**- *We* pay for damages for *bodily injury* or *property damage* resulting from liability assumed by an *insured* under a contract, provided:
 - a. the contract is in writing and made before the loss; and
 - b. it is not in connection with *business* activities of any *insured*.
 3. **Claims and Defense Expense Coverage**- *We* pay the following expenses incurred in connection with a suit defended by *us* under the Personal Liability coverage:
 - a. costs taxed to the *insured*;
 - b. expenses incurred by *us*;
 - c. actual loss of earnings by an *insured*; up to \$50 per day, for time spent away from work at *our* request;
 - d. other necessary expenses incurred by *you* at *our* request;
 - e. interest accruing after entry of a judgment but ending when *we* tender or pay up to the applicable limit of liability;
 - f. prejudgment interest awarded against the *insured* on that part of the judgment that *we* pay. If *we* make an offer to pay the applicable limit of liability, *we* will not pay any prejudgment interest based on that period of time after the offer.

- g. premiums on appeal bonds or bonds to release attachments up to **our** limit of liability; (**We** are not required to apply for or furnish any bonds) and
 - h. premiums up to \$500 per bail bond required of any **insured** because of an accident or traffic law violation arising out of the use of any vehicle to which this policy applies. (**We** are not required to apply for or furnish any bonds)
- We** do not pay for punitive or exemplary damages, or defense costs related thereto. This exclusion applies regardless of any other provision of this policy or endorsements attached to the policy.
- 4. **First Aid Expense Coverage**-Regardless of an **insured's** legal liability, **we** pay expenses incurred by an **insured** for first aid to persons, other than **insureds**, for **bodily injury** covered by this policy.
 - 5. **Incidental Motorized vehicle Coverage**- **We** pay for **bodily injury** or **property damage** which:
 - a. occurs on the **insured premises** and results from the ownership, maintenance, use, loading or unloading of:
 - 1) **motorized vehicles** not subject to motor vehicle registration because of their type or use; or
 - 2) **recreational motor vehicles**;
 - b. occurs anywhere and results from:
 - 1) golf carts while used for golfing purposes;
 - 2) utility, boat, camp or mobile home trailers except when the trailer is carried on, towed by or attached to a **motor vehicle** or **recreational motor vehicle**; or
 - 3) **motorized vehicles** designed exclusively for use off public roads and used principally to service the **insured premises**; or
 - 4) **motorized vehicles** designed and used for assisting the handicapped and not subject to motor vehicle registration;
 - c. results from the **insured's** use of a **recreational motor vehicle** not owned by an **insured**.
 - 6. **Watercraft**
 - a. **We** pay for **bodily injury** or **property damage** resulting from the maintenance, use, loading or unloading of watercraft:
 - 1) while on the **insured premises**; or
 - 2) not owned by or rented to an **insured** if the **bodily injury** or **property damage** results from the activities of an **insured**.
 - b. **We** pay for **bodily injury** and **property damage** resulting from the maintenance, use, loading or unloading of:
 - 1) watercraft owned by or rented to any **insured** and powered by inboard or inboard/outboard motors totaling 50 horsepower or less; or
 - 2) sailing vessels with or without auxiliary power owned by or rented to any **insured** and less than 26 feet in overall length.
 - c. **We** pay for **bodily injury** and **property damage** resulting from the maintenance, use, loading or unloading of watercraft powered by outboard motors totaling 50 horsepower or less.
 - d. Under the following circumstances, **we** pay for **bodily injury** or **property damage** resulting from the maintenance, use, loading or unloading of watercraft powered by outboard motors totaling more than 50 horsepower:
 - 1) the motors are insured for Personal Liability coverage and shown on the Declarations or any endorsement;
 - 2) the motors are reported to **us** and Personal Liability coverage is requested within 45 days after acquisition by any **insured**; or
 - 3) the motors are not owned by any **insured**.
 - 7. **Incidental Business Coverage**-**We** pay for **bodily injury** or **property damage** resulting from:
 - a. the occasional rental of the portion of the **insured premises** normally occupied by **you**, exclusively for residential purposes;
 - b. the rental of any other portion of the **insured premises** for residential purposes; (No family unit may include more than two roomers or boarders) and
 - c. the rental of a portion of the **insured premises** as a school, studio, office or private garage;
 - d. incidental activities normally performed by minors; and
 - e. activities in conjunction with **business** pursuits which are ordinarily considered **non-business** in nature.

EXCLUSIONS

- 1. **Exclusions that Apply to Both Personal Liability and Medical Payments to Others**-This policy does not apply to liability:
 - a. caused directly or indirectly by war; (This means undeclared war, civil war, insurrection, rebellion, revolution, warlike act by a military force or military personnel, destruction, seizure or use of property for a military purpose. It includes any consequence of any of these. Discharge of a nuclear weapon shall be deemed a warlike act even if accidental).

- b. resulting from the ownership, operation, maintenance, use, occupancy, renting, loaning, entrusting, supervision, loading or unloading of aircraft, except for **bodily injury** to a person while performing duties as a **domestic employee**; (This exclusion does not apply to model airplanes) and
- c. resulting from the ownership, operation, maintenance, use, occupancy, renting, loaning, entrusting, supervision, loading or unloading by an **insured** of **motorized vehicles** or watercraft, except:
 - 1) for **bodily injury** to a person in the course of performing duties as a **domestic employee**; or
 - 2) if coverage is provided for by an Incidental Liability Coverage.
- d. resulting from the use of a **motorized vehicle** in any racing, speed, pulling or pushing, demolition or stunting activity or contest or in the practice or preparation for such activity or contest;
- e. resulting from the rendering of or failing to render professional services;
- f. resulting from activities in connection with an **insured's business**, except as provided under Incidental Liability and Medical Payments Coverages;
- g. resulting from premises owned, rented or controlled by an **insured** other than the **insured premises**; (This exclusion does not apply to **bodily injury** to a person while performing duties as a **domestic employee** of an **insured**)
- h. caused intentionally by or at the direction of any **insured**;
- i. for **bodily injury** if benefits are payable or required to be provided by an **insured** under any workers' compensation, non-occupational disability, occupational disease or similar law;
- j. for which an **insured** under this policy is also an **insured** under a nuclear energy liability policy or would be an **insured** but for the exhaustion of its limits of liability. (A nuclear energy liability policy is a policy issued by the Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters, Nuclear Insurance Association of Canada, or any of their successors)
- k. resulting directly or indirectly from the discharge, dispersal, release or escape of smoke, vapors, soot, fumes, acids, alkalis, toxic chemicals, liquids or gases, waste materials or other irritants, contaminants or pollutants into or upon land, the atmosphere or any watercourse, body of water, bog, marsh, swamp or wetlands;
This exclusion does not apply to **bodily injury** or **property damage** caused by heat, smoke or fumes from a hostile fire. For the purpose of this exclusion, hostile fire means a fire which becomes uncontrollable or breaks out from where it was intended to be;
- l. resulting directly or indirectly from the transmission of a communicable disease by an **insured**;
- m. arising directly or indirectly out of instances, occurrences or allegations of child abuse;
- n. arising directly or indirectly out of instances, occurrences or allegations of sexual abuse of any person; or
- o. arising directly or indirectly out of instances, occurrences or allegations of criminal activity by employees of the **insured** named in this policy.

Exclusions m, n, and o shall be applicable whether the excluded claims are made directly or are made indirectly or derivatively as claims sounding in negligence or breach of contract.

2. Exclusions that apply only to Personal Liability-This coverage does not apply to liability:

- a. for **bodily injury** to **you** and, if residents of **your** household, **your** relatives, and any other person under the age of 21 in **your** care or in the care of **your** resident relatives;
- b. assumed under any contract or agreement, except as provided under Incidental Liability and Medical Payments Coverages;
- c. for damage to property owned by any **insured**;
- d. for damage to property rented to, occupied by, used by or in the care of an **insured**; (This exclusion does not apply to **property damage** to **insured premises** caused by fire, smoke or explosion) or
- e. for sickness, disease or death of a **domestic employee** unless a written notice is received by **us** within 36 months after the end of the policy period in which the injury occurs.

3. Exclusions that Apply only to Medical Payments to Others-This coverage does not apply to **bodily injury**:

- a. to an **insured** or other person regularly residing on the **insured premises** except a **domestic employee**;
- b. to any person while on the **insured premises** because a **business** is conducted or professional services are rendered on the **insured premises**; or
- c. to any person, including a **domestic employee**, if benefits are provided under any worker's compensation, non-occupational disability, occupational disease or similar law.

WORKERS' COMPENSATION-CERTAIN RESIDENCE EMPLOYEES

Workers' Compensation-Certain *Residence* Employees coverage applies when Perils Section ML-1R, ML-2, ML-3, ML-8, ML-1T, ML-2T, ML-3T or ML-1 is attached to this policy.

WORKERS' COMPENSATION-CERTAIN *RESIDENCE* EMPLOYEES COVERAGE DOES NOT APPLY WHEN PERILS SECTION ML-4 OR ML-4T IS ATTACHED TO THIS POLICY.

WHAT WE AGREE TO DO

We agree, with respect to covered *residence employees*:

Under Coverage I (Workers' Compensation)

- a. To pay when due all benefits required of an *insured* by the New York Workers' Compensation Law; and

Under Coverage II (employers' liability)

- b. To pay on behalf of an *insured* all damages for which the *insured* is legally liable because of *bodily injury* sustained by a covered *residence employee*. The *bodily injury* must be caused by accident or disease and arise out of and in the course of employment by the *insured* while:
 1. in the United States of America, its territories or possessions, or Canada, or
 2. temporarily elsewhere if the covered *residence employee* is a citizen or resident of the United States or Canada.

Coverage II does not apply to any suit brought in or judgment rendered by any court outside the United States of America, its territories and possessions, or Canada, or to any action on such judgment.

WHO IS COVERED

A covered *residence employee* under this endorsement is a *residence employee* who is both:

- a. engaged in regular employment of less than 40 hours per week or is engaged in casual employment, and
- b. defined under the New York workers compensation law as an employee for whom workers compensation benefits must be provided.

APPLICATION OF COVERAGE

- a. This insurance applies only to *bodily injury* which occurs during the policy period. If the *bodily injury* is a disease, it must be caused or aggravated by the conditions of the covered *residence employee's* employment by the *insured*.
- b. The covered *residence employee's* last day of last exposure to the conditions causing or aggravating such *bodily injury* must occur during the policy period.
- c. Additional Provisions Applicable to Coverage I (Workers' Compensation)
The following provisions are applicable to Coverage I:
 1. As between the covered *residence employee* and *us* notice to or knowledge of the *occurrence* of the injury on the part of an *insured* will be deemed notice or knowledge on *our* part.
 2. The jurisdiction of an *insured* will, for the purpose of the law imposing liability for compensation, be *our* jurisdiction.

LIMITS OF LIABILITY-COVERAGE II (EMPLOYERS' LIABILITY)

We may not limit *our* limit of liability to pay damages for which *we* become legally liable to pay because of *bodily injury* to an *insured's* covered *residence employees* if the *bodily injury* arises out of and in the course of employment that is subject to and is compensable under the Workers' Compensation Law of New York.

PROVISIONS OF ML-20 THAT APPLY

- a. Under *YOUR* POLICY DEFINITIONS the following definitions apply to Workers' Compensation-Certain Residence Employees:
 2. *Bodily injury*
 3. *Business*
 6. *Insured*

Note: The definition of *Residence Employee* is listed under WHO IS COVERED in this endorsement.

- b. Under WHAT *YOU* MUST DO IN CASE OF LOSS the provisions for liability coverage apply.
- c. Under POLICY CONDITIONS the following provisions apply:
 1. Assignment (Property and Liability Coverages)
 2. Cancellation (Property and Liability Coverages)
 4. Change, Modification or Waiver of Policy *terms* (Property and Liability Coverages)
 10. Subrogation (Property and Liability Coverages)

11. Suit Against *Us* (Liability Coverage)
12. Bankruptcy of an *Insured* (Liability Coverage)

PROVISIONS OF ML-9 OR ML-10 THAT APPLY

- a. Under PRINCIPAL LIABILITY AND MEDICAL PAYMENTS COVERAGES
Coverage L-Personal Liability-*Our* agreement to defend the *insured* as provided under Coverage L - Personal Liability.
- b. Under INCIDENTAL LIABILITY AND MEDICAL PAYMENTS COVERAGES
 3. Claims and Defense Expense Coverage
 - b. expenses incurred by *us* (Claim Expenses)

OTHER PROVISIONS THAT APPLY

- a. Other Insurance
If a loss covered by this insurance is also covered by other insurance, *we* will not pay more than *our* share of benefits and costs. The shares of all applicable insurance will be equal until the loss is paid. However, if a loss covered by this insurance is also covered by insurance written to cover business employees of an *insured* who is also a sole proprietor, this insurance is primary.
- b. Conformity to Statute
Terms of this insurance which are in conflict with the New York Workers' Compensation Law are amended by this statement to conform to that law.

EXCLUSIONS THAT APPLY TO WORKERS' COMPENSATION-CERTAIN RESIDENCE EMPLOYEES

This policy does not apply:

- a. to liability for *bodily injury* arising out of *business* pursuits of an *insured*.
- b. Under Coverage II:
 1. to liability assumed by the *insured* under any contract or agreement.
 2. to any obligation under a workers' compensation, employment or disability benefits law or any similar law.
 3. to punitive or exemplary damage because of *bodily injury* to a covered *residence employee* employed in violation of law.
 4. to *bodily injury* to a covered *residence employee* employed in violation of law with the knowledge of an *insured*.
 5. to *bodily injury* intentionally caused or aggravated by an *insured*.
 6. to damages arising out of the unlawful discharge or coercion of, or unlawful discrimination against, a covered *residence employee*.



NY STATUTORY ENDORSEMENT

Refer to Supplemental Declarations if information is not shown on this form.

The amendment under this endorsement is subject to the **terms** contained in **your** policy.

The following provisions are added to **your** policy.

1. Failure to give any notice required to be given by this liability policy within the time prescribed shall not invalidate any claim made by the **insured**, injured person or any other claimant, unless the failure to provide timely notice has prejudiced **us**, except when it shall be shown not to have been reasonably possible to give such notice within the prescribed time and that notice was given as soon as was reasonably possible thereafter.
2. With respect to a claim for personal injury or wrongful death of any person, if **we** disclaim liability or deny coverage based upon the failure to provide timely notice, then the injured person or other claimant may maintain an action directly against **us**, in which the sole question is **our** disclaimer or denial based on the failure to provide timely notice, unless within sixty days following such disclaimer or denial, the **insured** or the insurer:
 - a. initiates an action to declare the rights of the parties under the insurance policy; and
 - b. names the injured person or other claimant as a party to the action.

All other **terms** and conditions remain unchanged.

ERIE AND NIAGARA INSURANCE ASSOCIATION PRIVACY NOTICE

Our Privacy Policy: We at Erie and Niagara Insurance Association value our customers. We know you are concerned with the privacy of information that is provided to us in order to cover your personal insurance needs. It is essential, however, that from time to time we disclose some information to parties outside of our own company in order to process or service your account. This Privacy Notice provides information on what types of information we gather in the processing of your policies and also explains the types of disclosures that might be made.

Information Collection Practices: We collect nonpublic personal financial information about you from the following sources:

- Information we receive from you on applications or other forms, or verbally. This includes information you provide in writing, over the telephone, in person, or by any other means.
- Information about your transactions with us, our affiliates, or others. This might include such things as your loss history, payment history or account balances.
- Information we receive from a consumer reporting agency. This might include information on prior insurance claims or on creditworthiness.
- Information we secure from public records. This might include such information as telephone number, government real estate records and security interest filings.
- Information we secure from inspection vendors. This might include information from a property inspection service, a vendor who calls you directly in order to update policy information for renewal policies, or a geographic mapping service.

Information Disclosures: We do not disclose any nonpublic personal financial information about our customers or former customers to anyone, except as permitted by law. We will not disclose information to other companies who may want to sell their products or services to you. As an example, we will not sell your name or information to a direct marketing or telemarketing company that is not affiliated with us. Some examples of when we might disclose information, as permitted by law, are:

- Information may be provided with your consent or at your direction. For example, you might request that we provide your policy or payment information to a mortgagee or loss payee so that you may secure a loan.
- Information must be provided when subpoenaed or required by a court of law or by other regulatory or law enforcement agencies. We may have to report information to comply with state, federal, or local laws.
- Information may be provided to someone you have designated with a legal or beneficial interest, or who is acting in a fiduciary or representative capacity on your behalf.
- Information may be provided to a consumer reporting agency.
- Information may be provided in conjunction with a sale or merger of business to another company.
- Information may be provided to fraud prevention personnel or agencies.
- Information may be provided to a service vendor in order to process your policy or service your account.
- Information may be sent to rate advisory organizations, guaranty funds or agencies, agencies that are rating our company, persons who are charged with assessing our company's compliance with industry standards, and our attorneys, accountants, and auditors.

Information Protections: Our employees and independent service providers are instructed to keep your information in a confidential manner. We restrict access to nonpublic personal financial information about you to those employees and independent service providers who need to know that information in order to provide products or services to you. We maintain physical, electronic, and procedural safeguards that comply with federal and state regulations to guard your nonpublic personal financial information.

Other Information: This Privacy Policy applies to products and services provided by us and any of our affiliated companies used primarily for personal, family, or household purposes (not business purposes). We reserve the right to change this Privacy Policy, and any of the policies described above, at any time. The examples contained in the Privacy Policy are illustrations; they are not intended to be exclusive.

Erie and Niagara Insurance Association
8800 Sheridan Dr. Box 9062
Williamsville NY 14231 – 9062

Bertram Pellier & Malcolm Marsh
16 Amandas Way
Lagrangeville, NY 12540

NOTICE TO SENIOR CITIZEN INSURED

New York Insurance Law provides that Senior Citizen Insureds may designate a third party to whom we shall submit Notices of Cancellation, Non-renewal, or Conditional Renewal.

If you are a Senior Citizen Insured (age 65 or older) and a New York resident, you may elect to designate a third party to whom we will transmit copies of such notices. If you choose to do this, you must notify us by certified mail, return receipt requested, that a third party has been designated. Such notice to us must contain, in writing, an acceptance by the third party designee to receive Notices of Cancellation, Non-renewal or Conditional Renewal. Should the third party designee desire to terminate his or her status as a Third Party Designee, such person shall provide written notice to the company and the Senior Citizen Insured.

If you desire to designate such a third party, please fill out the following and return to us by Certified Mail, Return Receipt Requested.

Date of Birth _____

Signature of Senior Citizen Insured _____

Policy Number HO 0102050

Name and Address of Third Party Designee

Name _____

Address _____

Acceptance Signature of
Third Party Designee _____

THIS POLICY IS ISSUED BY A CO-OPERATIVE INSURER HAVING SPECIAL REGULATIONS AS FOLLOWS:

BY-LAWS

of

ERIE AND NIAGARA INSURANCE ASSOCIATION

ARTICLE I - Name, Object, Location and Territory

This Association shall be known and designated as **ERIE AND NIAGARA INSURANCE ASSOCIATION**, and the principal office shall be located in Erie County, New York.

ARTICLE II - Membership

All policyholders of this Association shall be deemed members during the time their policies are in force.

ARTICLE III - Meetings

Section 1. Annual Meetings. The annual meeting of the members of this Association shall be held on the second Wednesday of February of each year at 9:00 a.m. at the principal office of the Association, for the purpose of electing Directors and transacting such other business as may properly come before such meeting.

Section 2. Notice. The By-Laws, so long as they are included in each policy, shall constitute sufficient notice of the annual meeting. No other or further notice of the annual meeting shall be necessary.

Section 3. Special Meetings. Special meetings of this Association may be called by the Chief Executive Officer, the President or the Board of Directors upon twenty days' notice by publication at least twice in the leading newspaper of general circulation in the county in New York where the greatest number of policyholders reside to consider and determine any question specified in the notice of such meeting.

Section 4. Voting. Every member of this Association shall be entitled to one vote in person at each annual or special meeting (one member or two or more persons being joint policyholders are limited to one vote regardless of number of policies). Voting by proxy is prohibited in this Association.

ARTICLE IV - Directors

Section 1. Number and Qualifications. The business of the Association shall be managed by a Board consisting of a number of Directors fixed from time to time by the Board which shall be no more than fifteen and no less than seven. The Board shall be divided into three groups as equal in number as possible. Each Director shall be a member of the Association. At all times a majority of the Directors shall be citizens and residents of New York and not less than one Director shall be a resident within the territory in which the Association is authorized to transact business.

Section 2. Nomination. Candidates for Director shall be nominated by the Nominating Committee and approved by the Board. Names of Nominating Committee candidates shall be filed with the Secretary of the Association and posted at the principal office of the Association at least thirty days prior to the annual meeting. The list of names shall be mailed to each Board member. Ten or more members of the Association may nominate additional qualified persons by delivering a notice signed by them to the Secretary of the Association at least fifteen days before the annual meeting. The names of such additional nominees shall be posted at the principal office of the Association at least fifteen days prior to the annual meeting and mailed to each Board member. Only those persons who are nominated in accordance with this Section shall be eligible for election.

Section 3. Election. One group of Directors shall be elected at each annual meeting of the Association by a majority vote of the members present to serve for a three year term and until their successors are duly elected and qualified. Additional Directors shall be elected at each annual meeting to fill positions created and the remaining terms of any positions vacated since the last annual meeting.

Section 4. Quorum and Vote. A majority of the entire Board shall be necessary to constitute a quorum. Action shall be taken by the affirmative vote of a majority of the Directors present at a duly constituted meeting.

Section 5. Meetings. The annual meeting of the Board shall be held immediately after the annual meeting of the Association. The Board shall hold at least three additional meetings each year. Special meetings of the Board may be called by the Chairman of the Board, or by the President, or by five Directors. Written notice of meetings shall be mailed to Directors at least five days in advance of each meeting. Any member of the Board may participate in a meeting by means of a conference telephone or similar communications equipment allowing all persons participating in the meeting to hear each other at the same time. Participation by such means shall constitute presence in person at a meeting.

Section 6. Removal and Vacancies. A Director may be removed for cause upon the affirmative vote of two-thirds of the entire Board. Board vacancies may be filled until the next annual meeting by a majority vote of the remaining Directors.

ARTICLE V - Officers

The officers shall include a Chairman of the Board, Chief Executive Officer, President, Vice President, Secretary and Treasurer and such other officers as may be deemed necessary by the Board of Directors. All officers shall be members of this Association, and shall be elected by the Board of Directors at its annual meeting for a term of one year or until the next annual meeting of the Board of Directors, unless removed by a vote of two-thirds of said Board. Vacancies in the officers shall be filled for the unexpired term by the Board of Directors at any special or regular meeting.

In Witness Whereof, we have caused this policy to be executed and attested.

Vice President /Secretary

President

ARTICLE VI - EXECUTIVE COMMITTEE

Section 1. Number and Power. The Executive Committee shall consist of three or more members of the Board of Directors chosen by the Board for a term of one year. The Executive Committee shall have and may exercise all powers of the Board of Directors, during the intervals between the meetings of said Board and perform such other duties as may be lawfully designated or required of it by said Board subject to such limitations as exist by law or as may be provided in the By-Laws or by resolution of the Board of Directors.

Section 2. Meetings. The Executive Committee shall meet upon the order of the Chairman of the Board or the President as necessary to transact the business of the Association.

ARTICLE VII - INDEMNIFICATION

Section 1. Authority. The Association is hereby authorized to indemnify and advance expenses to a Director or officer beyond the rights of indemnification expressly granted by the New York Business Corporation Law, pursuant to the terms and conditions of either (i) a resolution of members, or (ii) a resolution of Directors or (iii) an agreement providing for such indemnification.

Section 2. Notice. Not less than thirty days prior to any payment of indemnification or advancement of expenses, the Association shall file a notice with the Superintendent of Insurance specifying the payees, amounts, the manner in which payment is authorized and the nature and status of the litigation or threatened litigation.

ARTICLE VIII - ASSESSMENTS

Section 1. Powers. This Association shall have the power to levy annual and extraordinary assessments pursuant to Article 66 of the New York Insurance Law. Annual assessments shall be levied in advance on the initial and anniversary dates of policies. The fiscal year of the Association shall be January 1st to December 31st.

Section 2. Notice. In case an annual assessment is made, the Secretary shall, at least thirty days before the anniversary date of a policy, notify by written or printed notice, every member that such assessment has been made, specifying the purpose for which it is made, the amount due from such member and the time when and to whom such amount must be paid; provided that such time shall not be less than fifteen days nor more than sixty days from the service of such notice, which may be either personal or by mail and if by mail, shall be deemed complete if such notice is deposited, postage prepaid, in the post office where the principal office of this Association is located, directed to the member at his last known place of residence or business.

Section 3. Collection. The officers of the Association shall proceed to collect all annual assessments within thirty days after the expiration of the notice, unless the members elect to pay the annual assessment in installments, based on the Association's payment plan in effect at that time of the notice. The Association's payment plan shall be established by the Directors of the Association and shall contain payment schedules, service charges, methods of refunds, and provisions relating to defaults.

Section 4. Extraordinary Assessments. Members shall also be contingently liable for extraordinary assessments to liquidate obligations and deficiencies incurred during their period of membership. A member's proportionate part of any extraordinary assessment shall be determined by applying to the assessment earned on the member's policy or policies in force during the fiscal year next preceding the levy of the extraordinary assessment, the ratio of the total extraordinary assessment to the total assessment earned during said period on all policies. The contingent liability of a member for extraordinary assessments shall be limited to once the amount of, and in addition to, the annual assessment which would be charged for insurance for one year.

Section 5. Action to Collect. An action may be brought by this Association against any member to recover all annual and extraordinary assessments which the member may neglect or refuse to pay and if such action is brought, there may be recovered from the member the amount so assessed with lawful interest thereon plus an amount equal to 50% of such assessment as a penalty for such neglect or refusal.

ARTICLE IX - WAIVERS

No director, officer, adjuster or agent of the Association shall have power to change or waive any of the conditions of a policy, or to waive any forfeiture thereunder. Any change or waiver, if made, shall be made by the Board of Directors in regular session. Payment of an assessment after loss by a member in default accepted by an officer or agent of the Association shall not constitute a waiver of any forfeiture which may have occurred prior to such payment.

ARTICLE X - Amendments

The By-Laws of this Association may be amended only by a majority vote of all the members who are present in person at any annual meeting or other stated meeting or any special meeting duly called for that purpose, except that the Board of Directors may amend these By-Laws as to any provisions which do not impair the member's rights or enlarge their obligations under insurance policies. No By-Laws or amendment or repeal of a By-Law shall be considered at any meeting of members unless such proposed By-Laws or amendment or repeal shall have been submitted in writing to the Secretary of the Association not less than thirty days prior to such meeting. No By-Laws or amendment or repeal of a By-Law shall be effective unless and until it shall have been approved in writing by the Superintendent of Insurance.

The word "premium" as used herein, or in endorsements, attached hereto, shall be deemed synonymous with the word "assessment".

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